Life Cycle Profiles and Persistent Trade Imbalances *

David D. Shin

University of Tennessee, Knoxville

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Abstract

This paper studies why some countries run persistent trade deficits while others run persistent trade surpluses. I develop a dynamic multi-country general equilibrium model in which borrowing and saving are decisions of heterogeneous households over the life cycle. Persistent trade imbalances arise naturally when countries differ in life-cycle profiles of income, investment, and bequest motives, and cohort replacement sustains aggregate borrowing and saving over time. Quantitatively, I show that life-cycle profiles play a central role in persistent trade imbalances across major advanced and emerging economies from 2000 to 2014. Other forces, including productivity growth, trade costs, financial frictions, and fiscal policy, play a smaller role in explaining long-run persistence in most economies. A counterfactual exercise shows that China's WTO accession lowered the U.S. trade balance by 0.054 percentage points of GDP on average, a modest effect relative to life-cycle forces.

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*David D. Shin: Department of Economics, University of Tennessee, Knoxville, TN 37919, U.S.A. Tel: +1 (919) 396-7465. Email: dshin5@utk.edu.

1 Introduction

Why do countries run persistent trade imbalances? Persistent trade imbalances are a defining feature of the global economy. Among advanced economies, the United States has run persistent deficits since 1976, while Germany has maintained surpluses since 2000. Among emerging economies, China has run persistent surpluses since 1994, while India has experienced persistent deficits over the same period.

This paper studies the role of cross-country differences in household life-cycle behavior in generating persistent trade imbalances. In economies with multiple generations, young households tend to borrow because income rises over time and housing and capital investment are concentrated early in life, middle-aged households save for retirement and bequests, and older households draw down assets or pass them on. With overlapping generations, these temporary positions persist in the aggregate through cohort replacement. At the aggregate level, trade imbalances reflect differences between saving and investment; therefore, persistent trade imbalances arise naturally when countries differ in life-cycle profiles of income, housing and capital investment, and bequest motives.

To quantify the importance of life-cycle forces, I develop a dynamic multi-country, multi-sector general equilibrium model with overlapping generations and calibrate it using household-level data from multiple countries on life-cycle profiles of income, housing and capital investment, and bequest motives. I then quantify how these life-cycle forces contribute to persistent trade imbalances across major advanced and emerging economies from 2000 to 2014 and compare their contribution with that of other drivers, including productivity growth, trade costs, life expectancy, population growth, government spending, public debt, financial intermediation costs, and intertemporal distortions.[1]

I calibrate the model to eight economies that exhibited persistent trade imbalances between 2000 and 2014: the United States, China, Germany, the United Kingdom, the Republic of Korea, Mexico, India, and a Rest-of-the-World aggregate.[2] Life-cycle profiles

[1]Intertemporal distortions capture residual forces influencing saving behavior that account for trade imbalances unexplained by other modeled mechanisms. The term "distortions" is not meant to imply inherently welfare-reducing inefficiencies, though such interpretations may arise. This paper focuses on positive rather than normative analysis, and the welfare implications of intertemporal distortions lie beyond its scope.

[2]Data sources include the World Input-Output Database (WIOD), the UN World Population Prospects

of income, housing investment, and capital investment are constructed directly from household-level data and are not targeted to match trade imbalances. Bequest motives are disciplined by household-level data on asset accumulation and net foreign asset positions. Measures of life expectancy, population growth, government spending, public debt, and financial intermediation costs are constructed directly from country-level data. Productivity and trade costs are recovered using the hat-algebra approach of Dekle et al. (2007). Economy-specific intertemporal distortions are inferred as residual wedges so that the model exactly matches the observed evolution of trade imbalances in each economy.

I conduct counterfactual experiments to isolate how each source of cross-country heterogeneity contributes to persistent trade imbalances through its effects on the gap between domestic saving and investment. For each source, I replace the country-specific component with its global average and measure the resulting average change in the trade balance over 2000–2014. This procedure shows whether a given source is surplus-inducing or deficit-inducing and allows direct comparison across sources and economies.

Quantitatively, I show that cross-country heterogeneity in life-cycle forces is central to persistent trade imbalances, but its importance differs across economies. Bequest motives and life-cycle profiles of income and investment play a large role in persistent surpluses and deficits in most economies, while fiscal policy, productivity, and intertemporal distortions are more important in some economies.

Among deficit economies, weaker bequest motives are the dominant deficit-inducing force in the United States and Mexico, lowering the trade balance by 20.73 and 19.94 percentage points of GDP on average over 2000–2014, respectively. In both cases, the implied change is much larger than the average observed trade deficits in the United States and Mexico of 3.92 and 0.61 percent of GDP, respectively. These findings show that weaker bequest motives reduce desired asset accumulation and depress aggregate saving, which sustains persistent deficits in both economies.

Among surplus economies, life-cycle forces are again quantitatively important, but they interact with other forces through different channels. In China, the bequest motive

(WPP), the Luxembourg Income Study (LIS), the Luxembourg Wealth Study (LWS), and the National Survey of Tax and Benefit (NaSTaB) for the Republic of Korea.

raises the trade balance by 13.22 percentage points of GDP, while lower public spending and the life-cycle income profile raise it by 9.19 and 7.14 percentage points, respectively. All three effects are large relative to the average observed trade surplus in China of 4.52 percent of GDP. This pattern indicates that China's surplus reflects strong private saving incentives, low public absorption, and life-cycle income dynamics that support higher saving.

In Germany, the housing investment profile, the capital investment profile, and higher life expectancy raise the trade balance by 9.49, 7.79, and 5.00 percentage points of GDP, respectively. These implied changes are large relative to the average observed trade surplus in Germany of 5.33 percent of GDP. These results indicate that Germany's surplus is closely tied to life-cycle investment patterns that lower borrowing pressure and to higher life expectancy, which strengthens retirement-saving incentives.

Lastly, I use the model to evaluate the China shock, defined as the decline in bilateral trade costs between China and its trade partners following China's WTO accession in 2001. For trade partners, the shock was accompanied by roughly a 15 to 20 percent decline in import costs from China in manufacturing by 2014 relative to 2000, making it one of the largest trade-cost shocks in the sample.

Nevertheless, its effects on aggregate trade balances are modest relative to the contribution of life-cycle forces. China's WTO accession raised China's trade balance by 0.552 percentage points of GDP on average over 2000–2014, about 12 percent of its average surplus, and lowered the U.S. trade balance by 0.054 percentage points of GDP, about 1.3 percent of its average deficit. These effects are small relative to the contribution of domestic bequest motives, which raise the trade balance by 13.22 percentage points of GDP in China and lower it by 20.73 percentage points in the United States.

Related Literature This paper makes two main contributions. The first contribution builds on a literature that emphasizes demographic forces as drivers of global imbalances (Ferrero, 2010; Backus et al., 2014; Sposi, 2021; Bárány et al., 2023). Relative to this literature, I move beyond aggregate demographic structure and allow for cross-economy heterogeneity in age-specific labor income profiles, age-specific investment behavior, and

voluntary bequest motives, documenting substantial cross-country differences in these profiles using individual-level data from the Luxembourg Income Study and Luxembourg Wealth Study.

The second contribution relates to a growing literature linking international trade and trade imbalances (Dekle et al., 2007; Alessandria and Choi, 2021; Dix-Carneiro et al., 2023; Cuñat and Zymek, 2024; Mac Mullen and Woo, 2025). Within this literature, Reyes-Heroles (2016) and Alessandria et al. (2024) show that changes in trade costs contributed to the rising dispersion of global imbalances by facilitating intertemporal trade and consumption smoothing. This paper complements that literature by studying the level and persistence of trade imbalances across multiple economies and by quantitatively comparing the role of trade costs with life-cycle and other structural forces within a unified framework.

This paper also relates to a broader international macroeconomics literature studying the drivers of current account imbalances (Itskhoki and Mukhin, 2021; Chinn and Ito, 2022). It is closely related to Boer et al. (2025), which identifies relative demand shocks as key drivers of current account dynamics at business cycle frequencies. This paper complements that literature by providing microfoundations for these demand forces through life-cycle income, saving, and investment, and by showing that they also shape the level and persistence of trade imbalances across countries. The unified framework also incorporates financial frictions (Caballero et al., 2008; Coeurdacier et al., 2015), which matter for trade imbalances but play a moderate role relative to life-cycle forces.

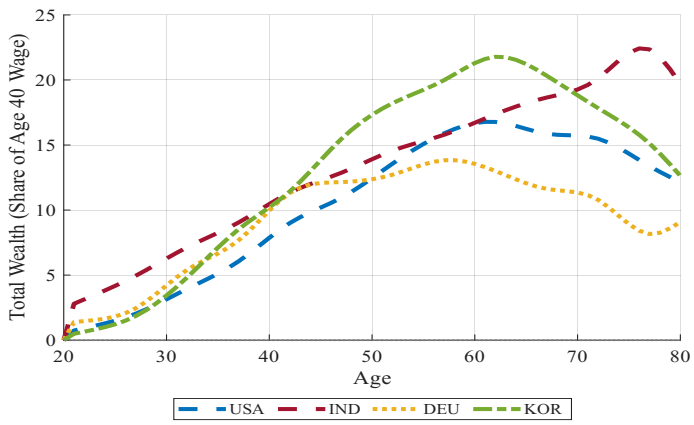
To keep the analysis tractable, this paper does not explicitly model other potentially important sources of global imbalances, such as cross-country differences in pension systems (Eugeni, 2015; Niemeläinen, 2021), incentives to accumulate foreign reserves (Benigno et al., 2022), precautionary saving arising from uncertainty (Choi et al., 2017), and investment motives unrelated to life-cycle patterns (Ravikumar et al., 2019). These channels are indirectly captured by the intertemporal distortions, which represent the portion of trade imbalances unexplained by the model's structural components, so that their relative importance can be inferred from the estimated contribution of those

distortions.[3]

The paper is structured as follows. Section 2 presents the empirical patterns that motivate the model. Section 3 presents the quantitative dynamic general equilibrium model. Section 4 describes the data sources and calibration procedure. Section 5 conducts quantitative exercises that evaluate how different factors affect trade imbalances. Finally, Section 6 concludes and discusses directions for future work.

2 Motivating Facts

Figure 1: Total Household Wealth by Age (Year 2000)



Notes: Total household wealth (financial assets, housing, and capital) by age in 2000, as a multiple of age-40 labor income; the United States (USA), India (IND), Germany (DEU), Republic of Korea (KOR). Information on assets is sourced from Luxembourg Wealth Study (LWS) and NaSTaB (Korea).

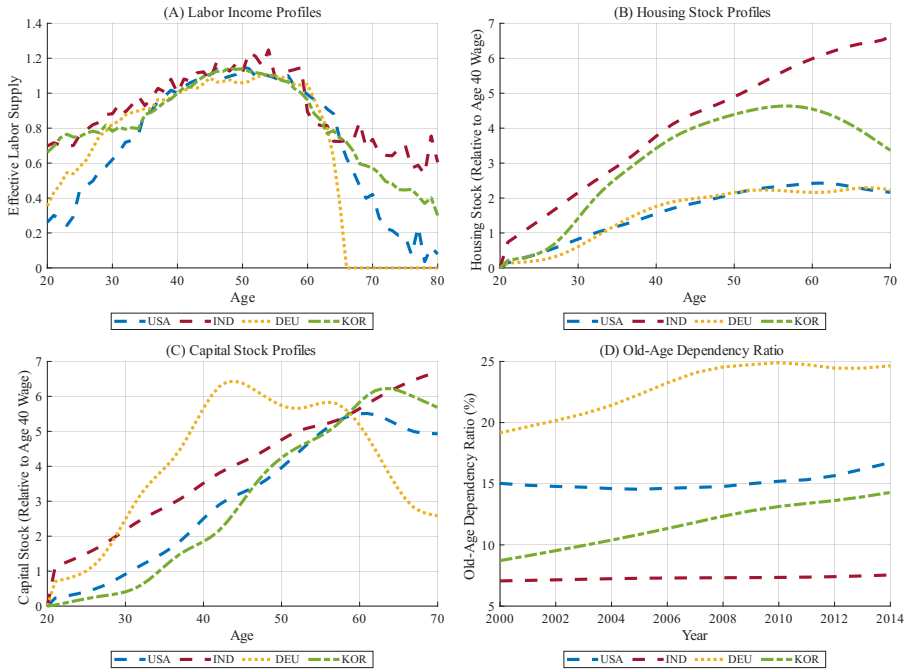
Household borrowing and saving vary systematically over the life cycle: young households tend to borrow, middle-aged households tend to save, and older households either draw down assets or leave bequests. When aggregated across overlapping cohorts, these age-specific saving patterns determine aggregate private net lending at the country level. Persistent trade imbalances can therefore emerge when countries differ in their life-cycle profiles and demographic structure.

Figure 1 shows two patterns. Household wealth peaks near age 60 and declines only partially, with households holding between 9 and 22 times age-40 labor income at age 80, consistent with a voluntary bequest motive. Late-life wealth also differs across

[3]Exogenous country-specific intertemporal distortions are widely used in the literature to exactly match the evolution of trade imbalances; see, for example, Reyes-Heroles (2016).

countries: Indian households hold substantially more wealth at age 80 than households in the United States, motivating country-specific bequest motives.

Figure 2: Cross-Country Differences in Life-Cycle Profiles and Demographic Structure



Notes: Panel A reports effective labor supply by age, normalized to 1 at age 40 and averaged across years, computed using Luxembourg Income Study (LIS). Panels B and C report housing and capital stock profiles by age (share of age-40 labor income, averaged across years) from Luxembourg Wealth Study (LWS) and NaSTaB (Korea). Panel D reports old-age dependency ratio (population 65+/20–64, percent) from the UN World Population Prospects.

Figure 2 documents the cross-country differences in the life-cycle profiles that drive aggregate saving. Labor income profiles differ substantially, as shown in Panel A. The income profile of the United States rises steeply; India's profile is flatter, and Germany's profile falls most sharply after middle age. Different timing of peak labor income shifts the age at which households borrow and save, producing different aggregate saving rates across economies.

Housing and capital stock profiles also differ substantially across economies, as shown in Panels B and C. Households in Germany accumulate much larger capital stocks during their working years than households in other economies, while households in the Republic of Korea and India accumulate larger housing stocks than households in the United States and Germany. These differences imply different life-cycle saving patterns,

which in turn shape aggregate saving and trade balances.

Demographic structure determines the cohort weights that aggregate these life-cycle profiles into national saving, as shown in Panel D. Germany enters the 2000s as the oldest economy and ages rapidly, while Korea's old-age dependency ratio rises fastest from a lower base. A larger share of older cohorts shifts aggregate saving toward asset decumulation and can therefore either amplify or offset the effects of life-cycle profiles, depending on the economy.

Together, these cross-country differences in life-cycle profiles and demographic structure suggest that household-side heterogeneity is relevant for understanding persistent trade imbalances. Trade imbalances depend on aggregate saving and investment, and both reflect the borrowing and saving decisions of households at different stages of the life cycle, weighted by each economy's demographic composition. A representative-household model, or a framework that imposes a common life-cycle profile across countries, cannot capture this source of variation. These patterns therefore motivate a quantitative framework with country-specific life-cycle profiles and demographic evolution.

3 Model

The model builds on existing quantitative frameworks of international trade and global imbalances. The production and international trade block closely follows Caliendo and Parro (2015). Following Bárány et al. (2023), I incorporate financial frictions, demographic changes, and life expectancy captured by survival probabilities. Relative to their framework, I extend the model to include multiple sectors, asymmetric changes in trade costs across economies, and differences in voluntary bequest motives, life-cycle wage and investment profiles, and government expenditures and debt across economies. Moreover, I capture financial frictions as time-varying borrowing costs instead of credit constraints.[4]

The model features a world economy comprising N economies indexed by $n \in \mathcal{N}$. Within each economy, there are I sectors indexed by $i \in \mathcal{I}$. Time is discrete and is

[4]Credit constraints impose hard borrowing limits, whereas borrowing costs map more directly to empirical counterparts such as interest rate spreads. They also offer computational convenience. Frictions not captured by spreads are absorbed into intertemporal distortions, defined as residuals at the economy level.

indexed by $t \in \{0, 1, ...\} \equiv \mathcal{T}$. Within each economy, households are classified by age, indexed by $j \in \{0, ..., J\} \equiv \mathcal{J}$. The number of households in economy n at time t and of age j is denoted by $L_{n,j,t}$, while the total population of economy n at time t is given by $L_{n,t} = \sum_{j=0}^{J} L_{n,j,t}$. Labor and capital are fully mobile within an economy but not across economies. There is no aggregate uncertainty, and all agents possess perfect foresight. In each economy, wages $w_{n,t}$, rental rates $r^k_{n,t}$, and goods prices $\{P^i_{n,t}\}$ are determined in equilibrium; households and firms take these prices as given.

3.1 National Income Identity, Saving, and the Trade Balance

The trade balance equals private net lending plus public saving. Letting $GDP_{n,t}$ denote gross domestic product and $X^C_{n,t}$, $X^I_{n,t}$, $X^G_{n,t}$ denote final consumption, investment, and government expenditures, the national income identity is $GDP_{n,t} = X^C_{n,t} + X^I_{n,t} + X^G_{n,t} + TB_{n,t}$. Defining private saving $S^C_{n,t} \equiv GDP_{n,t} - X^C_{n,t} - X^G_{n,t} - S^G_{n,t}$ (where $S^G_{n,t}$ is public saving) yields

$$\left(S^C_{n,t} - X^I_{n,t}\right) + S^G_{n,t} = TB_{n,t}. \tag{1}$$

Equation (1) is the organizing accounting framework. Any factor affecting consumption relative to income shifts private saving and, thereby, the trade balance; higher investment lowers it unless offset by saving; and fiscal policy operates through public saving $S^G_{n,t}$. Persistent trade imbalances emerge when countries differ in life-cycle profiles and demographic structure: cohort replacement keeps aggregate borrowing and saving stable over time, so that cross-country differences translate into persistent differences in $TB_{n,t}$.

3.2 International Asset Market and Global Banks

A global market exists for risk-free financial assets, denominated in units of the final consumption good of a base economy $n^\star$ with the price of the consumption good $P^C_{n^\star,t}$.[5] Financial transactions are intermediated by perfectly competitive global banks that search for households willing to lend at the lowest rate. This process determines the world interest rate R_t.

[5]The United States is used as the base economy in the quantification.

Financial intermediation in lending entails various costs, including assessing household default risk, complying with economy-specific financial regulations, and paying fees to governments and managers. When a household in economy n takes a negative asset position ($b' < 0$), the intermediation cost is $\phi_{n,t}|b'|$, which depends on the economy-specific cost $\phi_{n,t}$ and the asset position b'. Under perfect competition, global banks offer economy-specific interest rates $\kappa_{n,t+1}(b')$ such that they earn zero profits: $\kappa_{n,t+1}(b') = R_{t+1} + \phi_{n,t}\,\mathbb{1}[b' < 0]$, so that borrowers face a spread over the world interest rate while savers do not.[6]

Global banks pay financial intermediation costs in units of the final consumption good of the base economy $n^\star$. A household borrowing face value $|b'|$ receives $|b'|/\kappa_{n,t+1}$ units of the consumption good today and repays $|b'|$ next period, while the bank pays $|b'|/R_{t+1}$ to source those funds from savers at the world rate. Since $\kappa_{n,t+1} > R_{t+1}$ for borrowers, the bank earns a per-unit spread of $1/R_{t+1} - 1/\kappa_{n,t+1} > 0$, which under perfect competition exactly covers the intermediation cost. Aggregating across all borrowing households, total financial intermediation expenditure in economy n at time t is

$$X^F_{n,t} = P^C_{n^\star,t} \sum_{j=0}^{J} \left(\frac{1}{R_{t+1}} - \frac{1}{\kappa_{n,t+1}(b_{n,j+1,t+1})} \right) \cdot \left(-b_{n,j+1,t+1}\right) \cdot \mathbb{1}\left[b_{n,j+1,t+1} < 0\right] \cdot L_{n,j,t}. \quad (2)$$

3.3 Households

Households, indexed by age j, economy n, and time t, hold a financial asset position $b_{n,j,t}$, productive capital $k_{n,j,t}$, and housing $h_{n,j,t}$. They choose consumption and saving to maximize lifetime utility, subject to exogenous life-cycle investment rules for productive capital and housing.

Productive capital and housing are included because they are the primary vehicles through which households accumulate wealth over the life cycle, generating the age-specific asset profiles documented in Figure 1 and directly affecting investment demand and the trade balance. Investment follows exogenous age-specific rules to directly match

[6] In the quantitative analysis, I estimate $\phi_{n,t}$ as the spread between economy-specific lending rates and the world interest rate observed in the data. These spreads may capture not only the intermediation costs highlighted in the main text but also potential markups charged by oligopolistic banks. This approach is closely related to the debt-elastic interest rate in Schmitt-Grohé and Uribe (2003).

empirical life-cycle profiles. These profiles reflect not only economic optimization but also social and institutional factors, such as social norms that influence the timing of homeownership, that shape household investment behavior independently of financial returns.

Formally, for non-terminal ages $j < J$, investment rules are given by $i^k_{n,j,t} = s^k_{n,j} w_{n,t} / P^I_{n,t}$ and $i^h_{n,j,t} = s^h_{n,j} w_{n,t} / P^I_{n,t}$, where $s^k_{n,j}$ and $s^h_{n,j}$ are age-specific propensities to invest in productive capital and housing, estimated from household survey data, $w_{n,t}$ is the wage, and $P^I_{n,t}$ is the economy-specific price index for the investment good (defined in Section 3.6).[7]

The population of economy n consists of overlapping cohorts indexed by age $j \in \{0, \ldots, J\}$. Cohort size evolves according to $L_{n,j,t} = \chi_{n,j,t} L_{n,j-1,t-1}$, where $\chi_{n,j,t}$ is the survival probability from age $j-1$ to j. The size of the youngest cohort, $L_{n,0,t}$, is exogenous, determined by fertility and net immigration, and total population is $L_{n,t} = L_{n,0,t} + \sum_{j=1}^{J} \chi_{n,j,t} L_{n,j-1,t-1}$. Rising life expectancy or falling fertility increases the share of older, decumulating cohorts and shifts aggregate saving persistently.

Given these investment rules, the household's optimization problem is to choose consumption, c, and the next period's financial asset position, b', to maximize lifetime utility, $V_{n,j,t}(b, k, h)$, given the current financial asset position, b, productive capital holdings, k, and housing holdings, h. Formally, for ages $j \in \{0, 1, \ldots, J-1\}$, the recursive problem is

$$V_{n,j,t}(b,k,h) = \max_{c,\, b'} \left\{ \frac{c^{1-\nu}}{1-\nu} + v(h) + \beta\, e^{\varepsilon_{n,t+1}} \chi_{n,j+1,t+1} V_{n,j+1,t+1}(b', k', h') \right\}, \tag{3}$$

where $v(h)$ captures utility from residential housing.[8] The household is subject to the budget constraint and the laws of motion for productive capital and housing:

[7] Endogenous investment optimization would require a no-arbitrage condition equating the return on capital $r^k_{n,t}$ to the household's financial return $\kappa_{n,t}$, which is inconsistent with the systematic life-cycle accumulation patterns observed in the data. The exogenous rules approach matches observed household balance sheets directly without imposing frictionless portfolio reallocation. The functional form also allows investment to co-move with aggregate economic conditions through wages and investment prices, consistent with standard macroeconomic models.

[8] Housing provides utility but does not enter production. This specification reflects the residential nature of housing and avoids conflating household housing wealth with productive capital. Since exogenous rules determine housing, I do not specify a functional form for $v(h)$.

$$P^C_{n,t}c + P^I_{n,t}i^k_{n,j,t} + P^I_{n,t}i^h_{n,j,t} + \frac{P^C_{n^\star,t}}{\kappa_{n,t+1}(b')}b' = P^C_{n^\star,t}b + r^k_{n,t}k + w_{n,t}e_{n,j} + \Omega_{n,j,t} + \mathcal{T}_{n,j,t}, \quad (4)$$

$$k' = (1-\delta_n)k + i^k_{n,j,t}, \quad h' = (1-\delta_n)h + i^h_{n,j,t}, \quad (5)$$

where $P^C_{n,t}$ is the price index of the consumption good (defined in Section 3.6); $r^k_{n,t}$ is the rental rate of productive capital; $e_{n,j}$ is the age-specific labor efficiency profile governing effective labor income; δ_n is the economy-specific depreciation rate; $\Omega_{n,j,t}$ is the per-household bequest transfer received (defined in Section 3.4); and $\mathcal{T}_{n,j,t}$ is the lump-sum government transfer (defined in Section 3.5).

In this budget constraint, $\frac{P^C_{n^\star,t}}{\kappa_{n,t+1}(b')}b'$ is the current-period cost of purchasing a one-period discount bond with face value b', repaid as $P^C_{n^\star,t+1}b'$ next period; correspondingly, $P^C_{n^\star,t}b$ is the current-period value of the face value b carried from last period.

At the terminal age J, the problem simplifies to choosing consumption c and leaving a voluntary bequest b' to maximize final-period utility:

$$V_{n,J,t}(b,k,h) = \max_{c,\,b'} \left\{ \frac{c^{1-\nu}}{1-\nu} + v(h) + \frac{\tau_n^\nu}{1-\nu}\left(\frac{P^C_{n^\star,t+1}}{P^C_{n,t+1}}b'\right)^{1-\nu} \right\}, \quad (6)$$

where the term $\frac{P^C_{n^\star,t+1}}{P^C_{n,t+1}}b'$ converts the bequest into units of the final consumption good in economy n at time $t+1$. To ensure that bequests are made exclusively in financial assets, terminal investment in productive capital and housing satisfies $i^k_{n,J,t} = -(1-\delta_n)k$ and $i^h_{n,J,t} = -(1-\delta_n)h$, which imply that households liquidate all non-financial assets at the end of the life cycle.[9]

The household's saving decisions are driven by life-cycle income and investment dynamics, intertemporal trade-offs, and bequest motives.[10] The model also incorporates an economy-specific intertemporal distortion, $\varepsilon_{n,t}$, which captures saving behaviors not explained by other model variables; a positive distortion increases the effective return on saving, raising the trade balance.

[9]This assumption reflects the real-world practice whereby assets, such as real estate and privately held capital, are typically liquidated so that their value can be transferred to heirs in liquid form.

[10]Labor income is determined by the economy-specific wage $w_{n,t}$ and the age-specific effective labor supply $e_{n,j}$, which varies with human capital accumulation, experience, and labor market institutions. Capital income depends on the rental rate $r^k_{n,t}$ and the accumulated capital stock $k_{n,j,t}$.

The bequest motive parameter τ_n governs the utility households derive from leaving wealth to heirs. As documented in Figure 1, households hold substantial wealth at advanced ages, far exceeding what a standard life-cycle model without bequests would predict; a voluntary bequest motive is necessary to account for this sluggish decumulation.[11]

3.4 Bequests

There are two sources of bequests in the model: accidental and voluntary. Accidental bequests arise from mortality risk, captured by the survival probabilities $\{\chi_{n,j,t}\}$, while voluntary bequests are intentional transfers chosen by households. The total value of bequests, $BV_{n,t}$, or the transfers received by surviving households in economy n at time t, is given by

$$BV_{n,t} = \underbrace{\sum_{j=1}^{J} P^{C}_{n^\star,t} b_{n,j,t} \left(L_{n,j-1,t-1} - L_{n,j,t}\right)}_{\text{Accidental Bequests}} + \underbrace{P^{C}_{n^\star,t} b_{n,J+1,t} L_{n,J,t-1}}_{\text{Voluntary Bequests}}, \tag{7}$$

where $b_{n,J+1,t}$ is the bequest left by age-J household chosen in time $t-1$ and received in t. The first term on the right-hand side represents accidental bequests, which arise when households of age $j-1$ die between $t-1$ and t, leaving behind their assets $b_{n,j,t}$. The second term represents voluntary bequests, which are intentional transfers made by households at the terminal age J.

Given the lack of detailed data on how bequests are redistributed across surviving households, I assume that total bequests are evenly allocated among households aged $J_{\min} \leq j \leq J_{\max}$. Under this assumption, the per-household bequest transfer is

$$\Omega_{n,j,t} = \frac{BV_{n,t}}{\sum_{j=J_{\min}}^{J_{\max}} L_{n,j,t}}. \tag{8}$$

[11] More broadly, τ_n can capture precautionary motives arising from incomplete insurance against late-life risks, dynastic considerations, or institutional and cultural factors that discourage asset decumulation. The parameter is disciplined by asset holdings in the household survey data.

3.5 Government

In each economy n at time t, the government spends $X^G_{n,t}$, collects lump-sum taxes from households, and issues debt to finance any fiscal imbalance. To maintain tractability while allowing for cross-country and time variation in fiscal behavior, government spending and net asset positions are specified exogenously as $X^G_{n,t} = \xi^X_{n,t} \sum_{i \in \mathcal{I}} GO^i_{n,t}$ and $B^G_{n,t} = -\xi^B_{n,t} \sum_{i \in \mathcal{I}} GO^i_{n,t} / P^C_{n^\star,t}$, where $GO^i_{n,t}$ denotes gross output in sector i of economy n, $B^G_{n,t}$ is the government's net asset position, and $\xi^X_{n,t}$ and $\xi^B_{n,t}$ are exogenous, time-varying ratios governing government spending and debt relative to aggregate output.[12]

Governments are assumed to borrow at the world interest rate R_t.[13] Accordingly, the government budget constraint is given by

$$X^G_{n,t} + \frac{P^C_{n^\star,t}}{R_{t+1}} B^G_{n,t+1} = \Big(\sum_{j=0}^{\bar{J}} \mathcal{T}_{n,j,t} L_{n,j,t} \Big) + P^C_{n^\star,t} B^G_{n,t}, \tag{9}$$

where $\mathcal{T}_{n,j,t}$ denotes lump-sum transfers and $\bar{J}$ is the typical retirement age, so that lump-sum taxes are imposed only on households up to that age and are thus borne entirely by the working-age population. Equation (9) implies that the government finances its expenditure, net of new borrowing, through uniform lump-sum transfers (or taxes when negative) levied each period on households of working age ($j \leq \bar{J}$). Hence, the per-capita transfer for working-age households is given by $\mathcal{T}_{n,j,t} = -\big(X^G_{n,t} + P^C_{n^\star,t} B^G_{n,t+1} / R_{t+1} - P^C_{n^\star,t} B^G_{n,t}\big) / \sum_{j=0}^{\bar{J}} L_{n,j,t}$.

3.6 Final Goods

In each economy, households and the government purchase economy-level bundles of goods and services, referred to as final goods. A final good is a bundle of sector-level bundles $\{Y^i_{n,t}\}$, hereafter called sectoral goods. There are three types of final goods: a final consumption good $Y^C_{n,t}$, a final investment good $Y^I_{n,t}$, and a final government good $Y^G_{n,t}$. This distinction captures differences in the composition of consumption (C), investment (I), and government (G) expenditure baskets within an economy, as well as variation in

[12] When $B^G_{n,t} < 0$, $-B^G_{n,t}$ denotes government debt.

[13] This assumption reflects that sovereigns typically face lower borrowing costs than households due to lower credit risk, direct access to capital markets, and the high liquidity of government securities.

these compositions across economies.

For each $f \in \{C, I, G\}$, the final good is a Cobb–Douglas aggregate of sectoral goods, $Y^f_{n,t} = \prod_{i \in \mathcal{I}} \left(Y^i_{n,t}\right)^{\alpha^{i,f}_n}$, where $\alpha^{i,f}_n$ is the expenditure share on sector i in economy n for use f, with $\sum_{i \in \mathcal{I}} \alpha^{i,f}_n = 1$; expenditure shares vary across uses and economies. Given the sectoral prices $\{P^i_{n,t}\}$, the corresponding price index for use f is $P^f_{n,t} = \prod_{i \in \mathcal{I}} \left(\frac{P^i_{n,t}}{\alpha^{i,f}_n}\right)^{\alpha^{i,f}_n}$.

3.7 Sectoral Goods

Sectoral goods are bundles that aggregate sector-specific tradable varieties, which may be produced domestically or imported. These goods are either used to produce final goods or used by variety producers as intermediate inputs for production. Formally, the sectoral good $Y^i_{n,t}$ in sector i of economy n at time t is a Constant Elasticity of Substitution (CES) aggregate of tradable sector-specific varieties $y^i_{n,t}(\omega)$: $Y^i_{n,t} = \left(\int_0^1 [y^i_{n,t}(\omega)]^{(\sigma-1)/\sigma} d\omega\right)^{\sigma/(\sigma-1)}$, where $\sigma > 1$ dictates the elasticity of substitution across varieties.

The price of the sector-i good, $P^i_{n,t}$, in economy n at time t is given by

$$P^i_{n,t} = \left(\int_0^1 \left(p^i_{n,t}(\omega)\right)^{1-\sigma} d\omega\right)^{\frac{1}{1-\sigma}}, \tag{10}$$

where $p^i_{n,t}(\omega)$ represents the price of variety ω in economy n at time t. Since varieties are tradable, the sectoral price index depends on the prices of domestic and foreign varieties.

3.8 Variety Producers

Variety producers are perfectly competitive. In sector i of economy n, each tradable variety ω is produced with a Cobb-Douglas production function that combines effective labor input $l^i_{n,t}(\omega)$, capital input $k^i_{n,t}(\omega)$, and intermediate inputs $m^i_{n,t}(\omega)$ with economy-variety-specific productivity $z^i_{n,t}(\omega)$:

$$y^i_{n,t}(\omega) = z^i_{n,t}(\omega)\left(\left(l^i_{n,t}(\omega)\right)^{\eta^i_n}\left(k^i_{n,t}(\omega)\right)^{1-\eta^i_n}\right)^{1-\gamma^i_n}\left(m^i_{n,t}(\omega)\right)^{\gamma^i_n}.$$

Here, η^i_n governs the labor share in value added and γ^i_n governs the expenditure share on intermediate inputs, both of which vary across sectors and economies.

The intermediate input bundle is itself a Cobb-Douglas aggregate of sectoral goods, $m^i_{n,t}(\omega) = \prod_{k\in\mathcal{I}} \left(m^{i,k}_{n,t}(\omega)\right)^{\gamma^{i,k}_n}$, where $\gamma^{i,k}_n \geq 0$ is the share of intermediate expenditure of producers in sector i of economy n allocated to sector k, with $\sum_{k\in\mathcal{I}} \gamma^{i,k}_n = 1$.[14]

Under perfect competition and constant returns to scale, the price of a variety equals unit cost, $p^i_{n,t}(\omega) = mc^i_{n,t}/z^i_{n,t}(\omega)$, where $p^i_{n,t}(\omega)$ denotes the price of variety ω, $w_{n,t}$ is the wage per unit of effective labor in economy n at time t, $r^k_{n,t}$ is the rental rate of capital, and $P^k_{n,t}$ is the price of the sector-k good. The economy-sector-specific unit cost of the input bundle is given by $mc^i_{n,t} \equiv \Upsilon^i_n \left(w^{\eta^i_n}_{n,t}(r^k_{n,t})^{1-\eta^i_n}\right)^{1-\gamma^i_n} \left(\prod_{k\in\mathcal{I}}(P^k_{n,t})^{\gamma^{i,k}_n}\right)^{\gamma^i_n}$, where Υ^i_n is a constant specific to sector i of economy n.[15]

Following Eaton and Kortum (2002), I assume that productivity draws are Fréchet with cumulative distribution function $F_{n,t}(z^i_{n,t}(\omega)) = e^{-T^i_{n,t}(z^i_{n,t}(\omega))^{-\theta_i}}$, where $T^i_{n,t}$ governs the productivity level of sector i in economy n at time t and θ_i governs productivity dispersion within the sector.[16]

3.9 International Trade

Shipping goods from sector i of economy m to economy n at time t entails an iceberg trade cost $d^i_{nm,t} \geq 1$.[17] Thus, producers in economy m must ship $d^i_{nm,t}$ units for one unit to arrive in economy n.

Consumers derive the same utility from a given variety regardless of where it is produced and therefore source each variety from the lowest-cost supplier. The delivered price of variety ω in economy n is $p^i_{n,t}(\omega) = \min_{m\in\mathcal{N}} \left\{ \frac{mc^i_{m,t}}{z^i_{m,t}(\omega)} d^i_{nm,t} \right\}$. A producer is therefore more likely to serve economy n when it has a lower input cost $mc^i_{m,t}$, a higher productivity draw $z^i_{m,t}(\omega)$, or a lower bilateral trade cost $d^i_{nm,t}$.

Following Eaton and Kortum (2002), imports by economy n from sector i of economy m satisfy $X^i_{nm,t} = \pi^i_{nm,t} X^i_{n,t}$, where $X^i_{n,t}$ is total expenditure of economy n on sector i and

[14] The sectoral linkages in production governed by $\gamma^{i,k}_n$ allow shocks in one sector to propagate to other sectors.

[15] Specifically, $\Upsilon^i_n = (1-\gamma^i_n)^{-(1-\gamma^i_n)} (\eta^i_n)^{-\eta^i_n(1-\gamma^i_n)} (1-\eta^i_n)^{-(1-\eta^i_n)(1-\gamma^i_n)} \left(\prod_{k\in\mathcal{I}} \left(\gamma^{i,k}_n \gamma^i_n\right)^{-\gamma^{i,k}_n \gamma^i_n}\right)$.

[16] The parameter θ_i is closely linked to Ricardian comparative advantage. Lower θ_i implies greater productivity dispersion across varieties and therefore stronger gains from specialization and trade.

[17] There is no shipping cost for transactions within economies, so $d^i_{nn,t} = 1$ for all $n \in \mathcal{N}$, $i \in \mathcal{I}$, and $t \in \mathcal{T}$. I also assume the triangle inequality, $d^i_{nm,t} \leq d^i_{nh,t} d^i_{hm,t}$ for all $n, m, h \in \mathcal{N}$, $i \in \mathcal{I}$, and $t \in \mathcal{T}$.

$\pi^i_{nm,t} = \frac{T^i_{m,t}\left(mc^i_{m,t}d^i_{nm,t}\right)^{-\theta_i}}{\sum_{k\in\mathcal{N}} T^i_{k,t}\left(mc^i_{k,t}d^i_{nk,t}\right)^{-\theta_i}}$. Thus, $\pi^i_{nm,t}$ is the share of sector-i expenditure in economy n allocated to goods from economy m. Higher exporter productivity $T^i_{m,t}$ and lower bilateral trade costs $d^i_{nm,t}$ raise this expenditure share, while higher θ_i implies less dispersion in productivity draws and therefore weaker comparative advantage across varieties.

Let $\Phi^i_{n,t} \equiv \sum_{k\in\mathcal{N}} T^i_{k,t}\left(mc^i_{k,t}d^i_{nk,t}\right)^{-\theta_i}$. This term summarizes the productivity, input costs, and trade barriers faced by economy n when sourcing sector-i goods from all economies. Assuming $\sigma < 1+\theta_i$, the price index of the sector-i good in economy n is $P^i_{n,t} = \Psi^i\left(\Phi^i_{n,t}\right)^{-1/\theta_i}$, where Ψ^i is a sector-specific constant.[18] Hence, the price of the sectoral good depends on sectoral productivity $\{T^i_{n,t}\}$, comparative advantage θ_i, trade costs $\{d^i_{nm,t}\}$, and input costs $\{mc^i_{n,t}\}$.

3.10 Aggregation

Aggregate consumption expenditure, $X^C_{n,t}$, sums household consumption across all cohorts and includes financial intermediation costs, $X^F_{n,t}$: $X^C_{n,t} \equiv \sum_{j=0}^{J} P^C_{n,t}c_{n,j,t}L_{n,j,t} + X^F_{n,t}$. Aggregate investment expenditure, $X^I_{n,t}$, sums productive capital investment, $i^k_{n,j,t}$, and housing investment, $i^h_{n,j,t}$, across cohorts: $X^I_{n,t} \equiv \sum_{j=0}^{J} P^I_{n,t}\left(i^k_{n,j,t} + i^h_{n,j,t}\right)L_{n,j,t}$.

Sectoral gross output, $GO^i_{n,t}$, equals expenditure on sector-i goods produced in economy n across all destinations: $GO^i_{n,t} = \sum_{m\in\mathcal{N}} \pi^i_{mn,t}X^i_{m,t}$, where the bilateral expenditure share, $\pi^i_{mn,t}$, is the share of sector-i expenditure in economy m allocated to goods from economy n, and total sectoral expenditure, $X^i_{m,t}$, is aggregate expenditure in economy m on sector i. The trade balance, $TB_{n,t}$, is net exports: $TB_{n,t} \equiv \sum_{i\in\mathcal{I}} GO^i_{n,t} - \sum_{i\in\mathcal{I}} X^i_{n,t}$.

Sectoral expenditure, $X^i_{n,t}$, consists of final demand and intermediate demand: $X^i_{n,t} = \sum_{f\in\{C,I,G\}} \alpha^{i,f}_n X^f_{n,t} + \sum_{k\in\mathcal{I}} \gamma^k_n \gamma^{k,i}_n GO^k_{n,t}$, where the final expenditure share, $\alpha^{i,f}_n$, is the share of expenditure on sector i for use $f \in \{C, I, G\}$, and the input-output coefficients, γ^k_n and $\gamma^{k,i}_n$, govern intermediate input use.

Gross domestic product, $GDP_{n,t}$, is value added from effective labor and productive capital: $GDP_{n,t} = \sum_{j=0}^{J}\left(w_{n,t}e_{n,j} + r^k_{n,t}k_{n,j,t}\right)L_{n,j,t}$, where the wage, $w_{n,t}$, is the wage per

[18] Specifically, $\Psi^i \equiv \left[\Gamma\left(\frac{\theta_i+1-\sigma}{\theta_i}\right)\right]^{\frac{1}{1-\sigma}}$, where $\Gamma(\cdot)$ is the Gamma function. Since Ψ^i is time-invariant, it cancels in the analysis of changes over time. Accordingly, σ need not be estimated, as it only enters through Ψ^i.

unit of effective labor, the age-specific labor efficiency profile, $e_{n,j}$, governs effective labor supply by age, and the rental rate of capital, $r^k_{n,t}$, prices productive capital holdings, $k_{n,j,t}$.

The external asset position of economy n is summarized by:

$$NFA_{n,t+1} = B^G_{n,t+1} + \sum_{j=0}^{J} b_{n,j+1,t+1} L_{n,j,t}, \tag{11}$$

where government net asset positions, $B^G_{n,t+1}$, and household financial asset positions, $b_{n,j+1,t+1}$, jointly determine economy n's external balance sheet.[19]

3.11 Sequential Equilibrium

A sequential equilibrium is a set of sequences of prices and interest rates, $\mathbb{P}$, and endogenous allocations, $\mathbb{Y}$, given initial government asset positions, $B^G_{n,0}$, initial household financial asset positions, $b_{n,j,0}$, initial productive capital holdings, $k_{n,j,0}$, initial housing holdings, $h_{n,j,0}$, and the parameter set, Θ, such that households optimize, producers maximize profits, global banks break even, and all markets clear.

Households maximize lifetime utility subject to budget constraints, life-cycle investment rules, and the laws of motion for productive capital and housing. Producers maximize profits given wages, rental rates, and intermediate input prices. Global banks set asset-position-specific interest rates and earn zero profits, as described in Section 3.2.

Labor market clearing requires total labor income to equal the labor share of gross output:

$$w_{n,t} \sum_{j=0}^{J} e_{n,j} L_{n,j,t} = \sum_{i \in \mathcal{I}} (1 - \gamma^i_n) \eta^i_n GO^i_{n,t}, \qquad \forall n \in \mathcal{N},\ t \in \mathcal{T}.$$

Capital market clearing requires total capital income to equal the capital share of gross output:

$$r^k_{n,t} \sum_{j=0}^{J} k_{n,j,t} L_{n,j,t} = \sum_{i \in \mathcal{I}} (1 - \gamma^i_n)(1 - \eta^i_n) GO^i_{n,t}, \qquad \forall n \in \mathcal{N},\ t \in \mathcal{T}.$$

Goods market clearing requires sectoral expenditure, $X^i_{n,t}$, to equal final and intermediate

[19] Total liabilities and total assets are $TL_{n,t+1} = -\Big(B^G_{n,t+1} \mathbb{1}[B^G_{n,t+1} < 0] + \sum_{j=0}^{J} b_{n,j+1,t+1} \mathbb{1}[b_{n,j+1,t+1} < 0] L_{n,j,t}\Big)$ and $TA_{n,t+1} = B^G_{n,t+1} \mathbb{1}[B^G_{n,t+1} > 0] + \sum_{j=0}^{J} b_{n,j+1,t+1} \mathbb{1}[b_{n,j+1,t+1} > 0] L_{n,j,t}$.

demand: $X^i_{n,t} = \sum_{f\in\{C,I,G\}} \alpha^{i,f}_n X^f_{n,t} + \sum_{k\in\mathcal{I}} \gamma^k_n \gamma^{k,i}_n \sum_{m\in\mathcal{N}} \pi^k_{mn,t} X^k_{m,t}$ for all $n \in \mathcal{N},\ i \in \mathcal{I},\ t \in \mathcal{T}$. The government budget constraint holds as in Section 3.5, and the international asset market clears:

$$\sum_{n\in\mathcal{N}} \left(B^G_{n,t+1} + \sum_{j=0}^{J} b_{n,j+1,t+1} L_{n,j,t} \right) = 0, \qquad \forall t \in \mathcal{T}.$$

For readability, detailed descriptions of the parameter set, Θ, prices, $\mathbb{P}$, and endogenous variables, $\mathbb{Y}$, are provided in the Online Appendix.

In equilibrium, the balance-of-payments condition links sectoral expenditure, $X^i_{n,t}$, gross output, $GO^i_{n,t}$, and the net foreign asset position, $NFA_{n,t}$:

$$TB_{n,t} = \sum_{i\in\mathcal{I}} GO^i_{n,t} - \sum_{i\in\mathcal{I}} X^i_{n,t} = NFA_{n,t+1} - R_t NFA_{n,t}. \tag{12}$$

Thus, the trade balance rises through the accumulation of external assets, while a fall in aggregate saving lowers the trade balance through external dissaving.

4 Quantification

I map the model to eight economies: the United States, China, Germany, the United Kingdom, the Republic of Korea, Mexico, India, and the Rest of World (ROW). These economies display persistent trade imbalances from 2000 to 2014. The United States, the United Kingdom, Mexico, and India run persistent trade deficits, while China, Germany, and the Republic of Korea run persistent trade surpluses. This selection preserves computational tractability while allowing the model to capture heterogeneity across major deficit- and surplus-running economies.

The time frame is restricted to 2000–2014, the period covered by the World Input-Output Database (WIOD) 2016 release, which provides detailed and consistent production, expenditure, and bilateral trade data across 43 countries and 56 industries (Timmer et al., 2015).[20] The industries within each economy are grouped into three sectors: Agriculture/Mining (A), Manufacturing (M), and Services (S).

Table 1 provides a summary of the model's parameters. The parameters are classified

[20]When data series extend beyond 2014 (e.g., population and interest rates), I use the longer sample to discipline parameters and projections.

into three categories: (1) parameter values borrowed from the literature, (2) parameters calibrated without solving the model, and (3) parameters calibrated using the method of simulated moments (MSM).

Table 1: Summary of Parameters

Panel A. Externally Calibrated			
Parameter	Value(s)	Description	Source
ν	2	Inverse of EIS	See text
$\{\theta_A, \theta_M, \theta_S\}$	$\{9.11,\ 7.10,\ 4.49\}$	Productivity dispersion	CP
J	60	Terminal age of life cycle	
$\bar{J}$	45	Max. working-age	
$\{J_{\min}, J_{\max}\}$	$\{30,\ 49\}$	Bequest receipt ages	See text
$n^\star$	USA	Financial asset denomination	See text
Panel B. Calibrated Without Solving the Model			
Parameter	Description		Source
η_n^i	Labor shares		WIOD
γ_n^i	Intermediate input shares		WIOD
$\gamma_n^{i,k}$	Input–output shares		WIOD
$\{\alpha_n^{i,C}, \alpha_n^{i,I}, \alpha_n^{i,G}\}$	Final expenditure shares		WIOD
$\{\xi_{n,t}^X, \xi_{n,t}^B\}$	Government spending & debt		WIOD, GFS
δ_n	Depreciation rate		PWT
$\chi_{n,j,t}$	Conditional survival probabilities		WPP
$\phi_{n,t}$	Financial intermediation cost		See text
$e_{n,j}$	Effective labor supply by age		LIS
$\{s_{n,j}^k, s_{n,j}^h\}$	Capital & housing investment by age		LWS, NaSTaB
$T_{n,t}^i$	Sector-level productivity		WIOD
$d_{nm,t}^i$	Bilateral trade cost		WIOD
Panel C. Calibrated via Method of Simulated Moments			
Parameter	Value(s)	Description	
β	0.982	Discount factor	
τ_n		Voluntary bequest motive	

Notes: WIOD = World Input-Output Database 2016 Release, GFS = IMF Government Finance Statistics, WPP = UN World Population Prospects, LIS = Luxembourg Income Study, LWS = Luxembourg Wealth Study, NaSTaB = National Survey of Tax and Benefit, PWT = Penn World Table, CP = Caliendo and Parro (2015).

Externally Calibrated Parameters Panel A of Table 1 reports parameters set to common values in the literature. The parameter ν is set to 2 so that the elasticity of intertemporal substitution (EIS) equals 0.5.[21] The Fréchet parameters $\{\theta_i\}$, which govern productivity dispersion within each sector, are set following the estimates of Caliendo and Parro

[21]Estimates of the EIS typically fall below one, with many in the 0–0.5 range; the meta-analysis by Havránek (2015) finds an average around 0.5.

(2015) and range from 4.49 to 9.11.[22] Furthermore, I assume that households become economically active at age 20 and can live up to age 80; hence, there are 61 age cohorts in each economy, and the age index j runs from 0 to 60 (i.e., $J = 60$). I define the working-age households to be from age 20 to age 65 and set the parameter $\bar{J}$ to 45. The minimum and maximum ages for receiving bequests, $J_{\min}$ and $J_{\max}$, are set to 30 and 49, reflecting that most inheritances are received when households are in their 50s and 60s.[23] Finally, the base economy in which the financial asset is denominated is expressed in units of the final consumption good of the United States (i.e., $n^\star = \text{USA}$), so that the U.S. consumption good serves as the global numeraire or unit of account for financial transactions.

Life Expectancy and Population Inflow Conditional survival probabilities, $\{\chi_{n,j,t}\}$, are constructed from age-specific population data, $\{L_{n,j,t}\}$, to capture changes in the age structure of each economy over time. I use data on population by age from the UN World Population Prospects (WPP) for 2000–2021 (United Nations, 2024); the probabilities are computed as $\chi_{n,j,t} = \frac{L_{n,j,t}}{L_{n,j-1,t-1}}, \quad j > 0$.[24] After 2021, both the age-20 population and the conditional probabilities are held constant.

Figure A2 reports the implied life expectancy for 2000–2014, defined as the probability that a household aged 40 ($j = 20$) in year t survives to the end of the life cycle relative to the probability for a household aged 40 in 2000, $\prod_{h=1}^{J-20} \frac{\chi_{n,20+h,t+h}}{\chi_{n,20+h,2000+h}}$. Figure A2 shows the number of new labor market entrants over the same period, measured as the population of the age-20 cohort relative to its 2000 level, $L_{n,0,t}/L_{n,0,2000}$. Figure A2 shows that the life-expectancy index changes little in the United States and the United Kingdom, rises sharply in Korea in the mid-2000s, and declines significantly in Mexico and India by 2014. Figure A2 shows that the population of the age 20 cohort shrinks sharply in Korea, rises in China until 2010, and then falls, and increases modestly in the United States and the United Kingdom, but by less than the increase in the global average.

[22] In particular, the estimates are taken from Table 1 (99% sample) in Caliendo and Parro (2015). The value for Agriculture is 9.11; the value for Manufacturing is 7.10, calculated as an observation-weighted average across manufacturing industries; the value for Services is 4.49 based on the aggregate estimate.

[23] See Gropp and de Fontenay (2021) for more details.

[24] In some cases, the size of an age cohort increases over time, potentially due to immigration. In such cases, the conditional survival probability is set to one.

Age-Specific Labor Supply Age-specific labor supply profiles, $\{e_{n,j}\}$, are estimated using the Luxembourg Income Study (LIS), which provides individual-level labor income data for multiple countries and years (LIS, 2026). For the Republic of Korea, I use the data from the Korea Labour and Income Panel Study (KLIPS) from 1999 to 2022 (Jang et al., 2023). For each economy, I normalize the labor supply of 40-year-old individuals to one unit of effective labor and measure the labor supply of each age cohort as its average labor income relative to the average labor income of 40-year-old individuals. This approach assumes that the wage per unit of effective labor is economy-specific, so age-specific effective labor supply can be inferred from relative labor income across cohorts.

Specifically, I estimate $\{e_{n,j}\}$ by regressing labor income on a full set of age fixed effects, controlling for year, gender, marital status, education, and industry affiliation. The effective labor for each age j is then given by the estimated age fixed effect normalized to the estimate for 40-year-old individuals. For the Rest of the World (ROW), I construct the profile as a population-weighted average of the estimated age profiles from Brazil, Canada, France, Italy, and Japan. A detailed description of data sources and the estimation procedure is provided in the Online Appendix.

Figure A2 presents the estimated effective labor supply by age for each economy. The figure shows that profiles are hump-shaped in all economies, with effective labor supply rising from age 20 to a peak in the early to mid-50s and then declining. Relative to the global average, China's profile peaks earlier and falls more sharply after the mid-50s.

Age-Specific Investment Age-specific investment profiles, $\{s^k_{n,j}, s^h_{n,j}\}$, are calibrated using household-level cross-sectional data on equity, non-residential, and residential asset holdings from the Luxembourg Wealth Study (LWS) (LWS, 2026). For the Republic of Korea, I use the National Survey of Tax and Benefit (NaSTaB) from 2008 to 2023.

I construct time-invariant life-cycle profiles for productive capital and housing from household-level microdata in LWS and NaSTaB. I first build time-invariant age profiles of net financial assets, productive capital, and housing by collapsing balance-sheet variables to weighted means by age, normalizing all asset positions by average labor income around age 40, and then averaging these normalized age profiles across survey years. Using adjacent ages on the resulting time-invariant capital and housing profiles,

$\{\tilde{k}_{n,j}, \tilde{h}_{n,j}\}$, I infer implied investment flows consistent with the laws of motion: $i^{k,\text{shape}}_{n,j,t} = \tilde{k}_{n,j+1} - (1-\delta_{n,t})\tilde{k}_{n,j}$ and $i^{h,\text{shape}}_{n,j,t} = \tilde{h}_{n,j+1} - (1-\delta_{n,t})\tilde{h}_{n,j}$, where depreciation rates $\delta_{n,t}$ are sourced from the Penn World Table.[25] For each economy and year from 2000 to 2014, I then scale these implied flows so that investment aggregated across ages matches aggregate capital and housing investment expenditures from the WIOD. Finally, I average the scaled profiles across years to obtain time-invariant investment profiles, $s^{k,\text{Data}}_{n,j}$ and $s^{h,\text{Data}}_{n,j}$. Details are provided in the Online Appendix.

Figure A2 reports the calibrated age-specific profiles of capital and housing investment for each economy. Capital investment profiles are hump-shaped, while housing investment profiles are front-loaded over the life cycle, with investment concentrated at younger ages and declining thereafter. Both profiles display substantial cross-country heterogeneity. Relative to the GDP-weighted global average, China features comparatively higher housing investment expenditures, while the United States and the United Kingdom exhibit persistently lower investment over most of the life cycle.

Production and Expenditure Panel B of Table 1 reports parameters calibrated outside the model. I use the World Input–Output Database (WIOD), November 2016 release, to calibrate production and expenditure parameters. The Socio-Economic Accounts (SEA) of the WIOD provide industry-level information on gross output, value added, employment, capital stock, labor and capital compensation, intermediate input expenditures, and price indices for gross output and value added, and intermediate inputs.

The labor shares $\{\eta^i_n\}$, intermediate input shares $\{\gamma^i_n\}$, input–output shares $\{\gamma^{i,k}_n\}$, and final expenditure shares $\{\alpha^{i,C}_n, \alpha^{i,I}_n, \alpha^{i,G}_n\}$ are computed directly from the dataset. For each parameter, annual values are calculated and then averaged across the time periods. Government spending intensities $\{\xi^X_{n,t}\}$ are computed as government expenditure relative to economy-level gross output. Government debt intensities $\{\xi^B_{n,t}\}$ are measured as central government gross debt relative to gross output using the IMF Government Finance Statistics (IMF, 2024). Both series are held constant after 2014. Figures A1a and A1b

[25] While depreciation is allowed to vary over time in the construction of investment profiles using PWT data, the model uses a time-invariant depreciation rate δ_n, calibrated as the GDP-weighted average over 2000–2014.

report these series, which display substantial heterogeneity across economies.

Capital Depreciation The capital depreciation rates $\{\delta_n\}$ are obtained from the Penn World Table (Feenstra et al., 2015). For each economy, I calculate the GDP-weighted average depreciation rate over 2000–2014. For the Rest of the World (ROW), the depreciation rate is computed based on all countries except the United States, China, Germany, the United Kingdom, the Republic of Korea, Mexico, and India.

Financial Intermediation Cost The financial intermediation costs $\{\phi_{n,t}\}$ from 2000 to 2014 are computed as the percentage point differences between lending interest rates and the world interest rate. I use the mortgage interest rate to proxy the lending interest rate since mortgage borrowing constitutes a large share of household debt. For China and India, where the information on mortgage interest rates is unavailable, I use their benchmark lending rates, which are reference rates used by banks to price loans. The lending interest rate for the Rest of the World (ROW) is calculated as the GDP-weighted average of the other seven economies considered in the analysis. The world nominal interest rate is computed as the minimum of the long-term government bond yields for 11 major countries, to be consistent with the model's assumption that the world interest rate is the lowest interest rate that banks face after searching globally.[26] A detailed description of data sources and the procedure is provided in the Online Appendix. After 2014, I assume that financial intermediation costs remain constant.

Figure A2 shows the resulting financial intermediation costs for 2000–2014. The figure indicates that, over 2000–2014, financial intermediation costs in India and Mexico consistently exceeded the global average. In contrast, the financial intermediation costs in the United States, China, the United Kingdom, Germany, and the Republic of Korea remained near or below the global average and trend downward.

Productivity and Trade Costs I use the exact hat-algebra technique of Dekle et al. (2007) and Caliendo et al. (2019), which recovers proportional changes in fundamentals (denoted $\hat{x}_{n,t} \equiv x_{n,t}/x_{n,2000}$) by inverting the model equations given observed trade shares

[26] In particular, eleven economies are the United States, Germany, the United Kingdom, Canada, France, Italy, Australia, Spain, Switzerland, South Africa, and Japan.

and prices, without requiring level estimates in every period. As derived in the Online Appendix:

$$\hat{T}^i_{n,t} = (\hat{\pi}^i_{nn,t})^{Data} \left(\frac{(\hat{mc}^i_{n,t})^{Data}}{(\hat{P}^i_{n,t})^{Data}} \right)^{\theta_i}, \tag{13}$$

$$\hat{d}^i_{mn,t} = \left(\frac{(\hat{\pi}^i_{nn,t})^{Data}}{(\hat{\pi}^i_{mn,t})^{Data}} \right)^{\frac{1}{\theta_i}} \left(\frac{(\hat{P}^i_{m,t})^{Data}}{(\hat{P}^i_{n,t})^{Data}} \right). \tag{14}$$

Equation (13) infers productivity from the domestic expenditure share and marginal-cost-to-price ratio; Equation (14) infers bilateral trade costs from relative expenditure shares and price indices.[27]

Bilateral trade shares, $\left(\pi^i_{mn,t}\right)^{Data}$, are computed using the World Input–Output Table (WIOT) of the WIOD. Sector-level price indices, $\left(P^i_{n,t}\right)^{Data}$, are computed using the Socio-Economic Accounts (SEA) of the WIOD and the 2023 release of the GGDC Productivity Level Database (PLD). Factor prices used to construct marginal costs of production, $\left(mc^i_{n,t}\right)^{Data}$, are computed from labor and capital compensation together with employment and capital stock data in the WIOD SEA. To focus on differential growth across economies, I remove the common global output growth component when constructing these variables. Specifically, I de-trend labor and capital compensation by dividing them by world gross output, and I de-trend sector-level price indices by the GDP-weighted geometric mean of sector-level prices across economies. Additional details on the construction of these variables are provided in the Online Appendix.

For periods after 2014, I project productivity and trade costs using AR(1) models of one-period log changes in levels. For productivity, I allow a drift for 20 years and then set it to zero so that growth converges and levels flatten, with the steady state reached in 2183 (i.e., three model life cycles after the base year 2000). For trade costs, I use an AR(1) specification without a constant, assuming that policy shocks and disruptions create temporary fluctuations while long-run costs stabilize. Details of the procedure are provided in the Online Appendix.

Figure A3 reports sector-level productivity measures, $(\hat{T}^i_{n,t})^{1/\theta_i}$, normalized to their

[27] Changes in trade costs obtained using Equation (14) may reflect any barriers to bilateral trade, including tariffs, non-tariff barriers, distance, and exchange rate policies.

2000 levels. The figure highlights substantial heterogeneity in productivity growth across both economies and sectors. China, Mexico, and India exhibit productivity levels above the value-weighted global average, while the remaining economies lie below the global average.

Figures A4a and A4b report economy-level averages of bilateral trade costs, normalized to their 2000 levels. Figure A4a shows the average cost of exporting to each destination, while Figure A4b shows the average cost of importing from each origin. Both figures indicate a decline in GDP-weighted global average trade costs over time, alongside pronounced heterogeneity across economies and sectors.

Initial Conditions I calibrate the initial age distributions of household financial positions $\{b_{n,j,0}\}$, productive capital holdings $\{k_{n,j,0}\}$, and housing wealth $\{h_{n,j,0}\}$ by combining life-cycle profile shapes from household micro data with economy-level aggregate targets. Age-profile shapes are estimated from the Luxembourg Wealth Study (LWS) and the National Survey of Tax and Benefit (NaSTaB), normalized by labor income at age 40 and imposing $b_{n,0} = k_{n,0} = h_{n,0} = 0$ for each source country n. Productive capital profiles are scaled to match the aggregate capital stock in 2000 using WIOD data. Household financial positions are scaled to jointly match aggregate private debt and the household net asset position implied by the external balance-sheet identity, using net foreign asset positions from Lane and Milesi-Ferretti (2018) and government net assets from IMF (2024).[28] Additional details are provided in the Online Appendix. Figures A5a, A5b, and A5c display the calibrated initial age distributions of household financial positions $\{b_{n,j,0}\}$, productive capital holdings $\{k_{n,j,0}\}$, and housing wealth $\{h_{n,j,0}\}$.

Discount Factor and Voluntary Bequest Panel C of Table 1 reports parameters calibrated using the method of simulated moments (MSM). I estimate these parameters by solving the full dynamic general equilibrium model and choosing values that minimize the distance between model-implied and empirical moments. Additional details are provided in the Online Appendix.

The discount factor β is calibrated to match the average world real interest rate over

[28] Table A1 reports net foreign asset position and total liabilities (relative to GDP) in 2000.

Table 2: Calibration of Discount Factor and Voluntary Bequest Parameters

		Economy							
		USA	CHN	DEU	GBR	KOR	MEX	IND	ROW
Panel A. Calibrated Parameters									
β	Discount factor	0.982							
τ_n	Bequest motive	13.940	50.912	18.372	44.700	20.798	12.753	48.085	49.298
Panel B. Targeted Moments									
World interest rate (2000–2021)	Data	0.986							
	Model	0.986							
Avg. fin. assets, 2014	Data	1.862	1.307	1.931	5.478	1.072	0.470	0.806	3.484
	Model	1.863	1.308	1.933	5.478	1.075	0.442	0.802	3.484

Notes: The world real interest rate is the average gross real return over 2000–2021, deflated using the U.S. PCE price index. Average financial assets in 2014 are the mean net household financial position across cohorts economically active in 2000 (ages 34–80 in 2014), expressed relative to the age-40 wage, excluding equity-like holdings net of debt. **Sources:** WIOD (2016 Release); LWS; NaSTaB; Lane and Milesi-Ferretti (2018).

2000–2021. World real interest rates are constructed by deflating world nominal interest rates with inflation measured using the U.S. Personal Consumption Expenditures (PCE) price index.[29] This procedure implies a discount factor of $\beta = 0.982$.

The voluntary bequest parameter τ_n governs long-run saving behavior by placing weight on assets held at the terminal stage of the life cycle. Through backward recursion of the household optimality conditions, τ_n shapes the entire asset accumulation profile. Accordingly, I calibrate $\{\tau_n\}$ to match the full age distribution of household financial positions in 2014 for cohorts that were economically active in 2000 (ages 34–80 in 2014). The empirical targets are constructed using household-level age profiles from the Luxembourg Wealth Study (LWS) and the National Survey of Tax and Benefit (NaSTaB), scaled to match aggregate household balance-sheet moments using net foreign asset positions from Lane and Milesi-Ferretti (2018) and government net assets from IMF (2024).

Table 2 reports the calibrated values of τ_n across economies. The estimates reveal substantial cross-country heterogeneity in voluntary bequest motives, with larger values of τ_n implying stronger incentives for middle-aged and older households to accumulate assets in order to leave bequests at the end of the life cycle. In particular, the United States exhibits a relatively weak bequest motive, with $\tau_{\text{USA}} = 13.940$, while China features a much stronger bequest motive, with $\tau_{\text{CHN}} = 50.912$, implying substantially greater

[29] Retrieved from https://fred.stlouisfed.org/series/PCEPI.

incentives for late-life asset accumulation in China.

Intertemporal Distortions Intertemporal distortions, $\{\varepsilon_{n,t}\}$, are introduced to absorb the residual trade imbalances from 2000–2014, after accounting for all modeled fundamentals and frictions. Hence, they are calibrated only after calibrating other parameters to capture the unexplained component of trade imbalances. Since global trade imbalances must sum to zero, the number of distortions needed is $|\mathcal{N}| - 1$ each year; therefore, I impose that the intertemporal distortions across economies sum to zero for each year.

In the model, intertemporal distortions $\{\varepsilon_{n,t}\}$ act as economy-specific wedges in households' intertemporal Euler equations. They are introduced as residual factors to absorb the component of trade imbalances not explained by the modeled fundamentals and frictions. Figure A6 reports the calibrated paths of $\varepsilon_{n,t}$.[30]

5 Quantitative Analysis

This section uses the calibrated model to quantify how different sources of cross-country heterogeneity shape the persistent trade imbalances. Figure 3 shows that the United States, the United Kingdom, Mexico, and India ran persistent deficits over 2000–2014, while China, Germany, and the Republic of Korea ran persistent surpluses.

In a world with symmetric economies, the trade balance would be zero in every economy. Persistent surpluses and deficits therefore reflect cross-country heterogeneity in the forces shaping saving and investment over time.

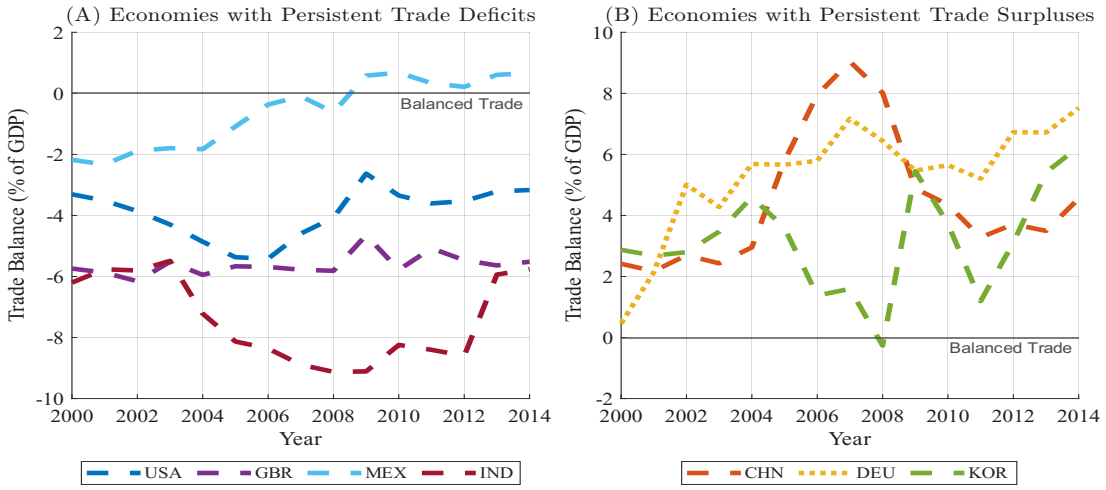
To quantify each source of heterogeneity, I conduct counterfactual experiments in which I replace economy n's component $\vec{x}_n$ with its global average $\vec{x}$, re-solve the general equilibrium, and compute the impact measure

$$\mathcal{M}_m\left(\vec{x}_n \to \vec{x}\right) = \frac{1}{15}\sum_{t=2000}^{2014}\left(\frac{TB_{m,t}^{Data}}{GDP_{m,t}^{Data}} - \frac{TB_{m,t}^{Model}\left(\vec{x}_n \to \vec{x}\right)}{GDP_{m,t}^{Model}\left(\vec{x}_n \to \vec{x}\right)}\right) \times 100. \tag{15}$$

A positive (negative) value indicates that $\vec{x}_n$ is surplus-inducing (deficit-inducing) for economy m; since impact measures are computed one at a time, they are ceteris paribus

[30] For example, a trade surplus in China in year t that cannot be accounted for by other mechanisms can be rationalized by a higher $\varepsilon_{\text{CHN},t+1}$, which tilts choices toward saving and away from current consumption, raising the trade balance.

Figure 3: Trade balances (% of GDP) of Seven Economies from 2000 to 2014



Notes: Trade balances (% of GDP) of the United States (USA), China (CHN), Germany (DEU), the United Kingdom (GBR), the Republic of Korea (KOR), Mexico (MEX), and India (IND) from 2000 to 2014. Economies that ran persistent trade deficits (surpluses) are shown in Panel A (B). Estimates are computed using the World Input-Output Database (WIOD) 2016 Release.

effects rather than an additive decomposition.[31] Tables 3 and 4 report the largest deficit- and surplus-inducing factors for each economy.

5.1 Life-Cycle Profile Forces and Persistent Trade Imbalances

Bequest Motives Bequest motives are among the largest forces in the United States, Mexico, and China. In the United States and Mexico, weaker bequest motives lower the trade balance by 20.73 and 19.94 percentage points of GDP, respectively. These implied changes are much larger than the average observed trade deficits in the United States and Mexico of 3.92 and 0.61 percent of GDP. In China, stronger bequest motives raise the trade balance by 13.22 percentage points of GDP, relative to an average observed trade surplus of 4.52 percent of GDP. These patterns are consistent with bequest motives affecting desired asset accumulation and aggregate saving over the life cycle.

Bequest motives also generate cross-border spillovers through the world interest rate. For example, weaker bequest motives in the United States are associated with higher trade balances in Germany, Korea, and China, while stronger bequest motives in the Rest of the World lower the trade balance in several deficit economies. These spillovers are

[31] The components considered and details on global averages are summarized in the Online Appendix.

Table 3: Major Deficit-Inducing Factors in Deficit-running Economies

United States (USA)			United Kingdom (GBR)		
Origin	Factor	Impact	Origin	Factor	Impact
USA	Bequest	-20.73	GBR	Distortion	-36.55
ROW	Bequest	-6.03	ROW	Bequest	-5.39
USA	Distortion	-2.50	GBR	Public Spending	-3.61
USA	Income Profile	-2.24	USA	Housing Profile	-2.37
ROW	Productivity	-0.97	USA	Productivity	-1.84
ROW	Income Profile	-0.91	USA	Life Expectancy	-1.11
CHN	Bequest	-0.87	ROW	Productivity	-1.03
USA	Financial Cost	-0.84	ROW	Income Profile	-0.92
Mexico (MEX)			India (IND)		
Origin	Factor	Impact	Origin	Factor	Impact
MEX	Bequest	-19.94	IND	Productivity	-13.60
MEX	Productivity	-13.46	IND	Life Expectancy	-9.25
MEX	Housing Profile	-4.39	IND	Capital Profile	-6.08
ROW	Bequest	-2.60	ROW	Bequest	-5.55
USA	Housing Profile	-1.14	IND	Housing Profile	-5.20
USA	Productivity	-0.85	IND	Trade Cost	-2.64
ROW	Productivity	-0.70	USA	Housing Profile	-2.37
USA	Life Expectancy	-0.67	USA	Productivity	-1.73

Notes: The eight largest deficit-inducing factors for each deficit-running economy based on the impact measure $\mathcal{M}(\cdot)$. Impact is measured as the time-averaged deviation between observed and model-implied trade balances relative to GDP under counterfactual factor replacement.

quantitatively meaningful, but the domestic bequest channel remains especially important in the United States, Mexico, and China.

Life-Cycle Income Profiles Income profiles also matter for persistent trade imbalances. China's life-cycle income profile raises the trade balance by 7.14 percentage points of GDP, while the U.S. profile lowers it by 2.24 percentage points. Income profiles are also surplus-inducing, though more modestly, in Germany and Korea. These patterns are consistent with cross-country differences in the timing of income over the life cycle altering borrowing and saving incentives.

Capital and Housing Investment Profiles Differences in capital and housing investment profiles are quantitatively important in several economies. In Germany, the housing investment profile raises the trade balance by 9.49 percentage points of GDP and the capital investment profile raises it by 7.79 percentage points. Both effects are large relative to Germany's average observed trade surplus of 5.33 percent of GDP. In India,

Table 4: Major Surplus-Inducing Factors in Surplus-Running Economies

China (CHN)			Germany (DEU)		
Origin	Factor	Impact	Origin	Factor	Impact
CHN	Bequest	13.22	DEU	Housing Profile	9.49
CHN	Distortion	11.41	USA	Bequest	8.91
USA	Bequest	10.18	DEU	Capital Profile	7.79
CHN	Public Spending	9.19	DEU	Life Expectancy	5.00
CHN	Income Profile	7.14	GBR	Distortion	1.44
CHN	Life Expectancy	2.43	ROW	Housing Profile	1.40
USA	Distortion	1.76	DEU	Productivity	1.32
GBR	Distortion	1.70	USA	Distortion	1.26
Republic of Korea (KOR)					
Origin	Factor	Impact			
USA	Bequest	9.59			
KOR	Life Expectancy	6.92			
KOR	Public Spending	5.56			
KOR	Distortion	4.24			
GBR	Distortion	1.65			
ROW	Housing Profile	1.35			
USA	Income Profile	1.11			
USA	Distortion	0.98			

Notes: The eight largest surplus-inducing factors for each surplus-running economy based on the impact measure $\mathcal{M}(\cdot)$. Impact is measured as the time-averaged deviation between observed and model-implied trade balances relative to GDP under counterfactual factor replacement.

higher capital and housing investment needs lower the trade balance by 6.08 and 5.20 percentage points, respectively, while Mexico's housing investment profile lowers it by 4.39 percentage points. These results are consistent with life-cycle investment needs shaping borrowing pressure over time.

Taken together, the tables indicate that life-cycle profile forces are quantitatively important in the United States, Mexico, Germany, and China. In other economies, they also matter, but they interact with productivity, demographics, fiscal policy, and intertemporal distortions in shaping the overall pattern of persistent trade imbalances.

5.2 Other Forces

Alongside life-cycle profile forces, productivity growth, demographics, fiscal policy, financial intermediation costs, and intertemporal distortions also affect persistent trade imbalances. Their importance varies across economies, and, in some cases, these forces

are among the largest contributors.

Productivity Growth Rapid productivity growth, which induces households to borrow to smooth consumption, is especially important in India, where it is the largest deficit-inducing force and lowers the trade balance by 13.60 percentage points of GDP. This implied change is larger than India's average observed trade deficit of 7.40 percent of GDP. Rapid productivity growth is also quantitatively important in Mexico, where it lowers the trade balance by 13.46 percentage points of GDP. By contrast, lower productivity growth raises the trade balance of Germany.

Demographics Demographic forces are also relevant in some economies. Shorter life expectancy lowers the trade balance in India, while longer life expectancy raises the trade balance in Germany and Korea. These results are consistent with demographic structure and life expectancy affecting saving horizons and retirement-saving incentives.

Fiscal Policy Fiscal policy is quantitatively important in China, Korea, and the United Kingdom. Lower public spending raises the trade balance in China and Korea, while higher public spending lowers it in the United Kingdom. These effects operate through public saving and its interaction with private borrowing and saving.

Financial Intermediation and Trade Costs Financial intermediation costs and trade costs play more modest roles in most economies. Lower financial intermediation costs reduce the trade balance in the United States. Trade costs are most important in India, where they lower the trade balance by 2.64 percentage points of GDP.

Intertemporal Distortions Intertemporal distortions are especially important in the United Kingdom, where they lower the trade balance by 36.55 percentage points of GDP, far above the country's average observed trade deficit of 5.62 percent of GDP. These distortions are residual wedges, and their large role should not be interpreted as a structural life-cycle mechanism. One reason they are large in the U.K. is that the country enters the sample with exceptionally large gross external liabilities, so sizable wedges are needed to reconcile the model with the observed path of trade imbalances.[32]

[32] In practice, these distortions may capture institutional and structural features not explicitly modeled, including the role of the United Kingdom as a global financial hub, the scale of its financial sector, cross-

Intertemporal distortions are also surplus-inducing in China and Korea.

5.3 Counterfactual Exercise: The China Shock

There is an active policy debate over whether trade costs—through tariffs, non-tariff barriers, or other trade policies—can meaningfully shift aggregate trade balances, or whether imbalances are primarily driven by domestic saving and investment dynamics (Blanchard and Milesi-Ferretti, 2011). I use the calibrated model to shed light on this question through the China shock, defined as the decline in bilateral trade costs between China and its trade partners following China's accession to the World Trade Organization in 2001.[33]

To quantify its impact, I consider three counterfactual scenarios. First, costs of exporting to China are held fixed at their year-2000 levels for all other economies ("No China Export Cost Shock"). Second, costs of importing from China are held fixed at their year-2000 levels ("No China Import Cost Shock"). Third, both export and import cost changes are shut down simultaneously ("No China Trade Cost Shocks").

Table 5: China Shock and Trade Imbalances

Economy	Impact on Trade Imbalance (% of GDP)		
	No China Export Cost Shock	No China Import Cost Shock	No China Trade Cost Shocks
United States	-0.052	0.002	-0.054
China	-0.188	0.832	0.552
Germany	-0.148	-0.109	-0.237
United Kingdom	-0.048	-0.109	-0.147
Republic of Korea	-0.166	-0.063	-0.227
Mexico	-0.022	-0.208	-0.224
India	-0.179	-0.093	-0.220

Notes: Each column reports impact measures from counterfactual simulations that shut down the respective China trade cost shock by fixing bilateral trade costs at their year-2000 levels. Impacts are time-averaged deviations between model-implied and observed trade balances relative to GDP.

Impact measures are defined analogously to $\mathcal{M}_m(\cdot)$: negative (positive) values indicate

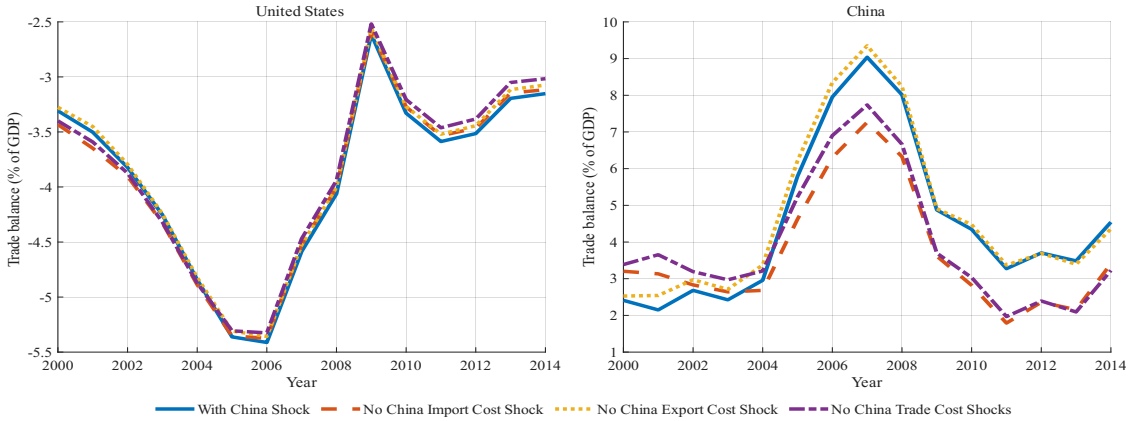
border intermediation activity, and balance-sheet expansion associated with international banking and asset management.

[33]For China's trade partners, the shock was accompanied by roughly a 15 to 20 percent decline in manufacturing import costs from China by 2014 relative to 2000, making it one of the largest trade-cost shocks in the sample.

that shutting down the China shock raises (lowers) the model-implied trade balance relative to GDP, implying that the China shock itself is deficit-inducing (surplus-inducing). Table 5 reports the resulting impacts across seven economies, and Figure 4 presents the trade balances of the United States and China from 2000 to 2014 with and without the China shock.

For the United States, shutting down the full China shock raises the trade balance by 0.054 percentage points of GDP, implying that the shock is modestly deficit-inducing. This effect is driven almost entirely by the export-cost channel: shutting down the export-cost shock raises the trade balance by 0.052 percentage points of GDP, while shutting down the import-cost shock changes it by only 0.002 percentage points. For China, by contrast, shutting down the full China shock lowers the trade balance by 0.552 percentage points of GDP, implying that the shock is surplus-inducing. This result is driven primarily by the import-cost channel, which raises China's trade balance by 0.832 percentage points of GDP, while the export-cost channel lowers it by 0.188 percentage points.

Figure 4: The Impact of the China Shock on Trade Balances of the United States and China



Notes: Trade balance (% of GDP) of the United States and China from 2000 to 2014 with and without the China shock.

The China shock also has modest aggregate effects in the remaining economies, with impacts ranging from 0.147 to 0.237 percentage points of GDP, as reported in Table 5.

Taken together, the results indicate that even a large and policy-relevant trade-cost shock has only modest effects on aggregate trade balances. Relative to average observed trade balances over 2000–2014, the China shock raised China's trade balance by about 12

percent of its average surplus and lowered the U.S. trade balance by about 1.3 percent of its average deficit, and the corresponding effects in the other economies are also small. These effects are well below the contribution of the leading life-cycle forces, especially domestic bequest motives in China and the United States. More broadly, the results illustrate that in a multi-country general equilibrium setting, large bilateral trade-cost shocks need not translate into large changes in aggregate trade balances.

6 Conclusion

This paper develops a dynamic multi-country general equilibrium model to study persistent trade imbalances across major advanced and emerging economies from 2000 to 2014. The cross-country differences in life-cycle profiles, bequest motives, and demographic evolution are quantitatively important: bequest motives and life-cycle investment profiles generate large effects in economies running persistent imbalances. Other forces, including productivity growth, demographics, fiscal policy, financial intermediation costs, and intertemporal distortions, also matter and are more important in some cases.

The paper also evaluates the China shock, the decline in bilateral trade costs following China's WTO accession in 2001, and finds that despite its scale, its effects on aggregate trade balances are modest relative to life-cycle forces. An important direction for future research is to extend the framework to incorporate foreign direct investment, reserve accumulation, and precautionary saving.

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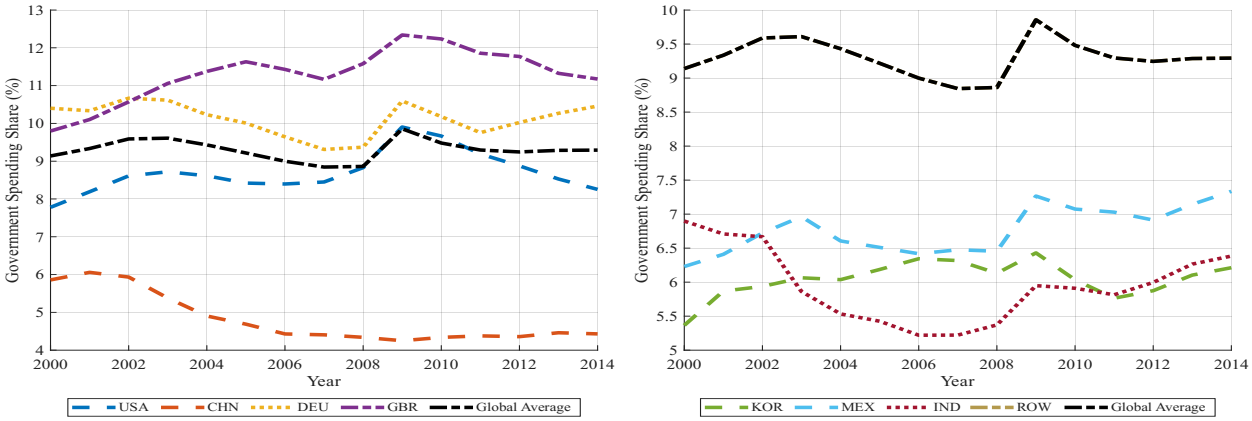
A Appendix

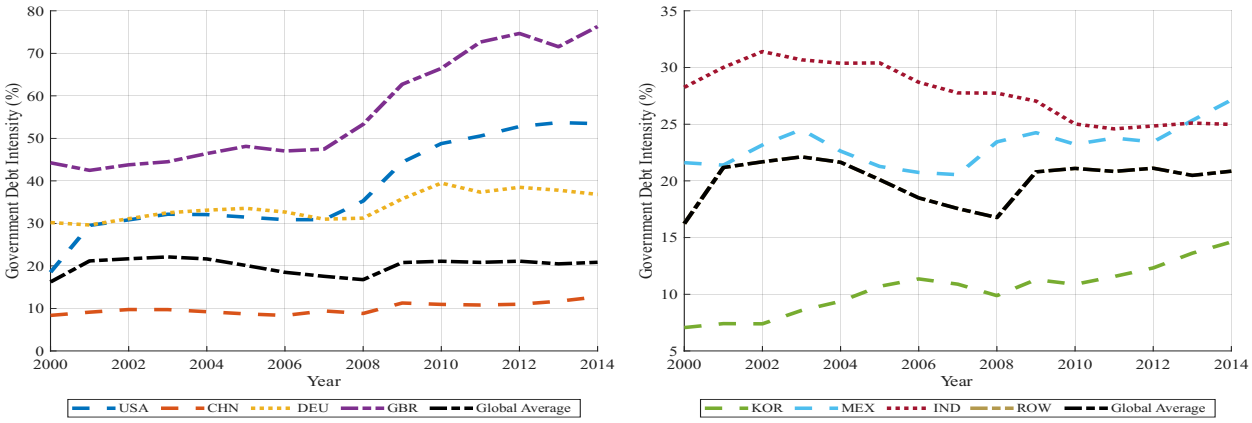
A.1 Figures and Tables

Figure A1: Government Spending and Debt Intensities from 2000 to 2014

(a) Government Spending Intensity ($\xi^X_{n,t}$)

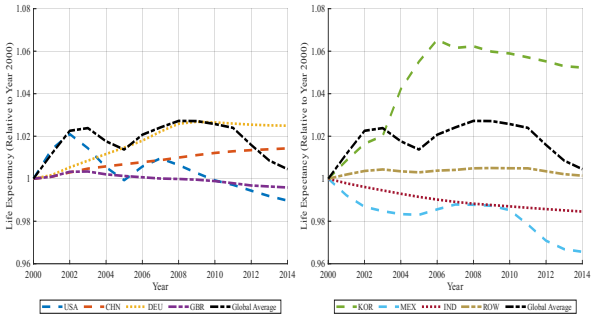


(b) Government Debt Intensity ($\xi^B_{n,t}$)



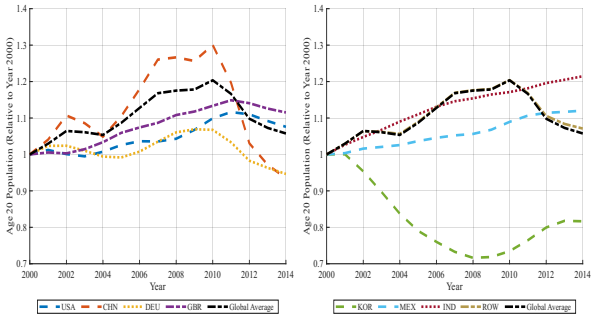
Notes: Government spending intensities (Panel A) are measured as central government purchases relative to gross output; government debt intensities (Panel B) are measured as central government gross debt relative to gross output. The global average is computed as a value-added–weighted arithmetic mean across economies, using time-averaged value-added weights. **Sources:** World Input-Output Database (WIOD) 2016 Release (Panel A); IMF Government Finance Statistics (Panel B).

Figure A2: Life-Cycle and Demographic Calibration Inputs



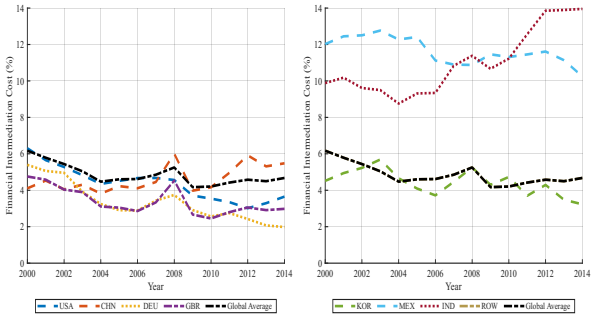
(a) Life Expectancy Index (Age 40 Cohort)

Notes: Normalized to 1 in 2000. Constructed from UN World Population Prospects (WPP) survival probabilities.



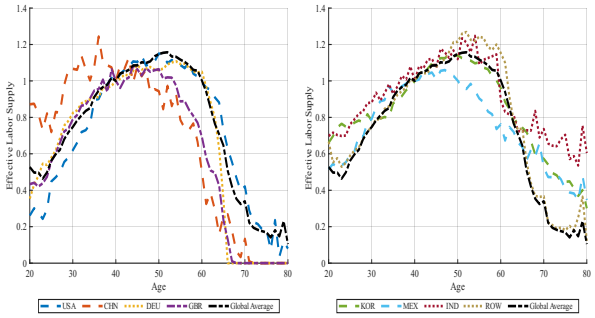
(b) Age 20 Population

Notes: Age-20 population relative to its 2000 level. Source: UN World Population Prospects (WPP).



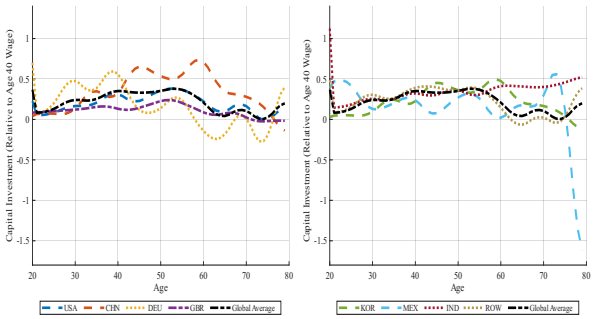
(c) Financial Intermediation Cost ($\phi_{n,t}$)

Notes: Lending-rate spread $\phi_{n,t} = i^L_{n,t} - (R_t - 1)$; see the Online Appendix for construction details.



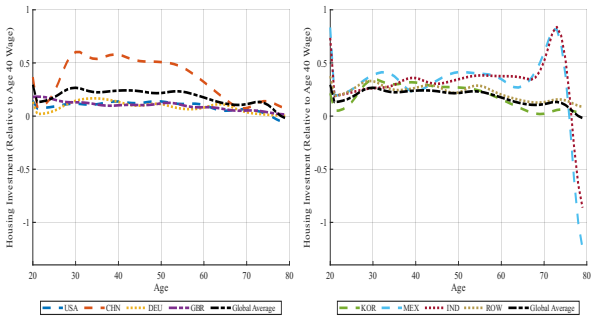
(d) Effective Labor Supply ($e_{n,j}$) by Age

Notes: Income relative to age-40 income. Estimated from the Luxembourg Income Study (LIS).



(e) Capital Investment ($s^k_{n,j}$) by Age

Notes: Capital investment relative to age-40 wage. Computed from household equity and non-residential asset positions in LWS and NaSTaB.



(f) Housing Investment ($s^h_{n,j}$) by Age

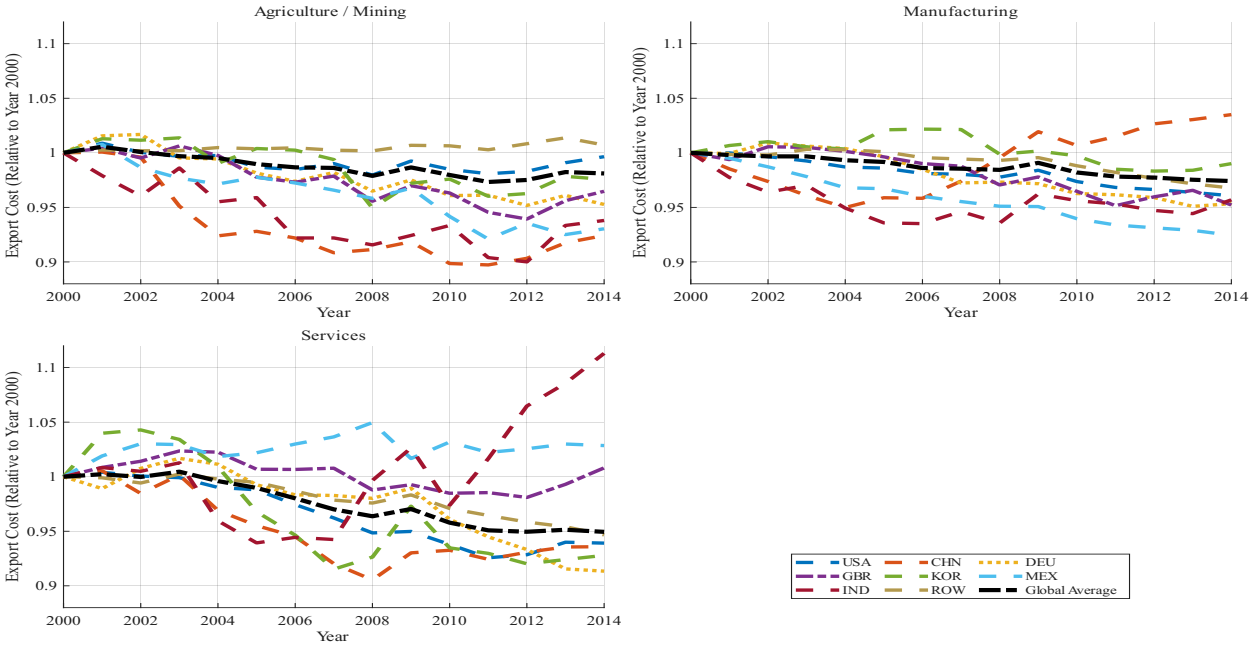
Notes: Housing investment relative to age-40 wage. Computed from residential asset positions in LWS and NaSTaB.

Figure A3: Productivity from 2000 to 2014

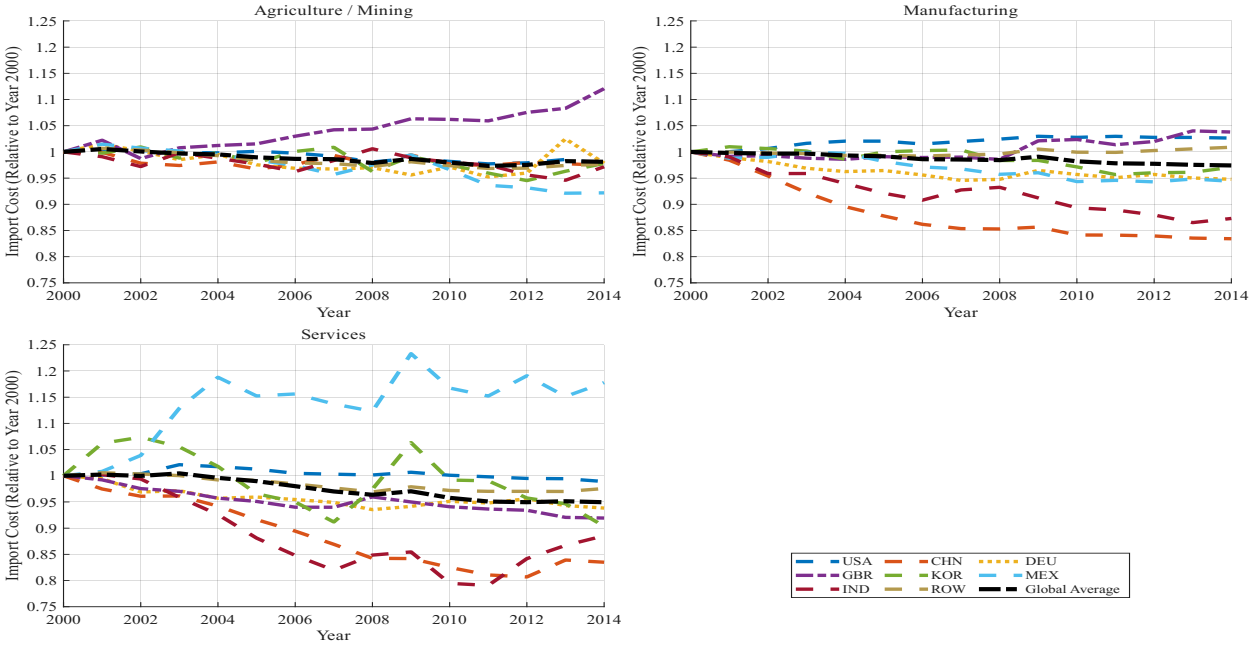
Notes: Sectoral productivity measures $(\hat{T}^i_{n,t})^{1/\theta_i}$ are shown relative to year-2000 levels for 2000–2014, using data from the World Input-Output Database 2016 Release. The global average series is computed as a value-added–weighted geometric mean across economies. Productivity dispersion parameters θ_i equal 9.11 for Agriculture, 7.10 for Manufacturing, and 4.49 for Services.

Figure A4: Average Trade Costs from 2000 to 2014

(a) Average Costs of Exporting to Economies



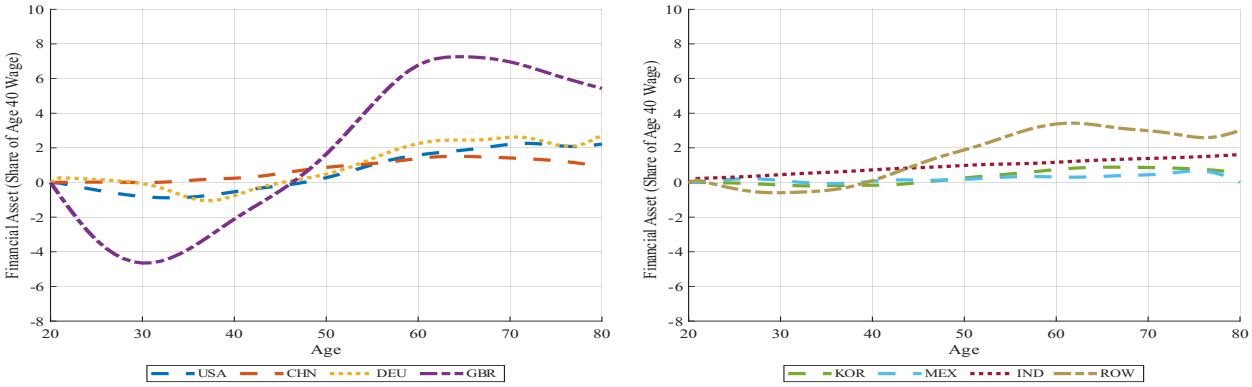
(b) Average Costs of Importing from Economies



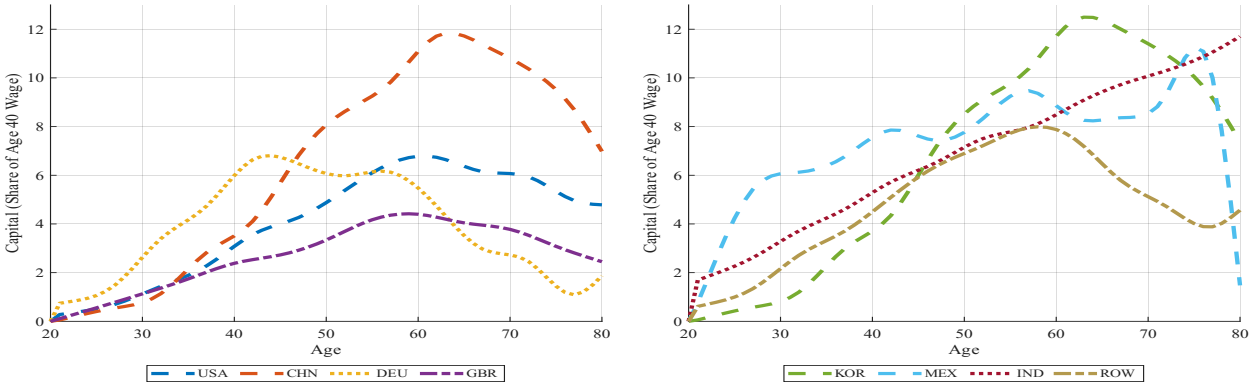
Notes: Average costs of exporting to (Panel A) and importing from (Panel B) each economy, shown relative to year-2000 levels for 2000–2014, computed using data from the World Input-Output Database 2016 Release. The global average series is constructed as a value-added–weighted geometric mean across economies.

Figure A5: Initial Age Distributions of Household Positions in 2000

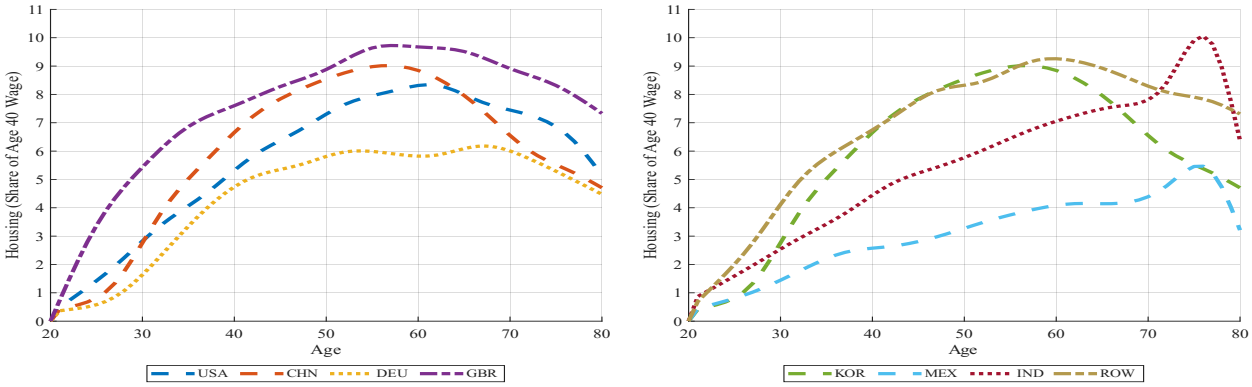
(a) Financial Asset Position ($b_{n,j,0}$)



(b) Capital Stock ($k_{n,j,0}$)

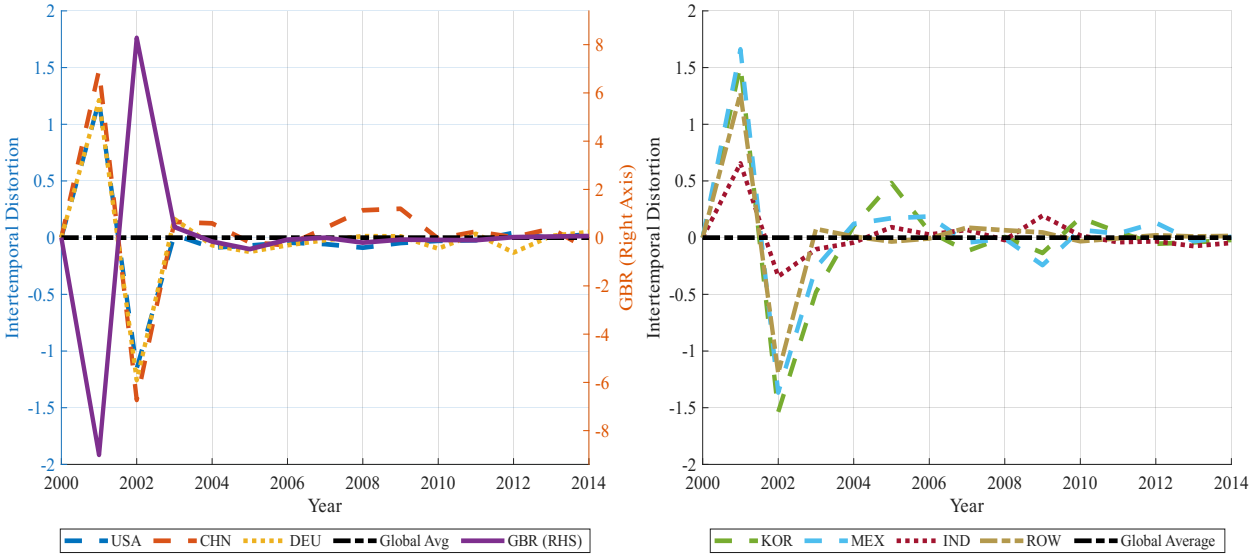


(c) Housing Stock ($h_{n,j,0}$)



Notes: Age distributions in 2000, measured relative to age-40 wages. Age-profile shapes are estimated from the Luxembourg Wealth Study (LWS) and the National Survey of Tax and Benefit (NaSTaB), normalized by age-40 income, and scaled to match economy-level aggregate targets: household debt and net foreign asset positions from IMF (2024) and Lane and Milesi-Ferretti (2018) (Panel A), and capital and housing stocks from Timmer et al. (2015) (Panels B and C).

Figure A6: Intertemporal Distortions ($\varepsilon_{n,t}$) from 2000 to 2014



Notes: Intertemporal distortion series from 2000 to 2014, capturing economy-specific wedges that rationalize observed trade imbalances not explained by other cross-country differences in the model. By construction, the global average distortion equals zero in each year.

Table A1: Net Foreign Asset Position (NFA) and Total Liabilities (TL) in 2000

Economy	NFA/GDP	TL/GDP
United States	-0.156	0.892
China	-0.035	0.318
Germany	0.001	1.376
United Kingdom	-0.075	3.030
Republic of Korea	-0.075	0.401
Mexico	0.317	0.507
India	-0.170	0.292

Notes: Net foreign asset position and total liabilities in 2000 (relative to GDP). Estimates are from Lane and Milesi-Ferretti (2018).